MFIN
Microfinance Institutions Network

# the MicroScape

## Nov, 2013

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# ACKNOWLEDGMENTS

We are thankful to our members for their continued support and cooperation in providing us very detailed and rich data set in a timely manner.

We would also like to especially acknowledge the support provided by our colleagues at the MIX Market, Elizabeth Larson and Amit Mittal for their support in collection and collation of data as per the global standards.

# ABBREVIATIONS

| | |
|---|---|
| AP | Andhra Pradesh |
| bn | billion |
| BoP | Bottom of the Pyramid |
| CGAP | Consultative Group to Assist the Poor |
| CoC | Code of Conduct |
| DFI | Development Finance Institution |
| EC | Enforcement Committee |
| FPC | Fair Practices Code |
| FY | Financial Year |
| GLP | Gross Loan Portfolio |
| IFC | International Finance Corporation |
| IFRS | International Financial Reporting Standards |
| KA | Karnataka |
| MFIs | Microfinance Institutions |
| MFIN | Microfinance Institutions Network |
| MH | Maharashtra |
| mn | million |
| MP | Madhya Pradesh |
| NBFC | Non-Banking Finance Companies |
| NE | North East |
| OpEx | Operating Expenses |
| OSS | Operational Self Sufficiency |
| PAR | Portfolio at Risk |
| RBI | Reserve Bank of India |
| ROA | Return on Assets |
| ROE | Return on Equity |
| Rs | Indian Rupee |
| SHG | Self Help Group |
| SIDBI | Small Industries Development Bank of India |
| TN | Tamil Nadu |
| UP | Uttar Pradesh |
| WB | West Bengal |

# INTRODUCTION

## a. MFIN

Micro Finance Institutions Network (MFIN) is the association of Non-Bank Finance Company Micro Finance Institutions (NBFC-MFIs). Currently the association has 42 members, diverse in size and geographic spread, representing 85% of the microfinance industry in India (excluding SHGs). MFIN seeks to work closely with regulators and other key stakeholders to achieve larger financials inclusion goals through microfinance.

MFIN's vision is to be an engine of inclusive growth for India and help provide financial services to 100 mn low income households by the year 2020, in a responsible and transparent manner, thereby helping them build sustainable livelihoods.

MFIN was established in October 2009 as the primary representative body of the NBFCs engaged in the business of microfinance. Since its establishment, MFIN has spearheaded a range of initiatives that help meet the diverse and challenging needs of a rapidly evolving industry. It has been at the forefront of transformative work in terms of infrastructure development, research, market analysis, and best practices for the microfinance industry.

Knowledge and information based on accurate, timely and relevant data is foundation MFIN's work in three core areas of Self-regulation, Advocacy and Development. And over the years, MFIN has taken a series of steps to contribute to enhanced body of microfinance information to guide industry practices and support policy discourse. The **MicroScape** intended to be the bedrock of our efforts to bring greater transparency and accountability to the industry.

## b. MicroScape

This is the second edition of the MicroScape, our annual publication that offers a comprehensive operational and financial data on the microfinance industry in a given financial year. Analysis presented in the MicroScape is based on data from the **Audited Financials Statements of MFIN member NBFC-MFIs.**

This edition of the MicroScape captures the important operational and financial trends in the industry for the FY 12-13 and compares key performance indicators for FY 12-13 with three previous financial years, FY 09-10, FY 10-11 and FY 11-12.

# NOTES

## a. Data and methodology

- For FY 12-13, data and analysis is based on a cohort of 41 MFIs, for FY 11-12 and FY 10-11 it is based on 37 MFIs and FY 09-10 the data set is derived from 34 MFIs. Refer to Annex 1 for complete list MFIs
- Data and ratios used for analysis is taken from Annual Data Collection Tool (ADCT) sent by MFIs and the MIX Market at www.mixmarket.org
- Financial analysis is based on the audited financial statements of MFIs for FY 09-10, FY 10-11, FY 11-12 and FY 12-13
- Operational and portfolio quality data is self-reported
- Ratios for various peer groups and for pan-India calculations are based on simple averages of the individual ratios derived for each MFI, unless otherwise stated. This methodology has been employed to net-off the disproportionate impact of large MFIs, on the overall industry data
- Treatment of the financial statements is based on IFRS Standards
- CGAP standard definitions and formulae are used for all analyses. Refer to Annex 2 for details of all definitions and ratio used in the publication

## b. Peer grouping

Analysis is presented by categorizing all MFIN member MFIs, as per the following criteria:

- **CDR MFIs:** 6 MFIs grouped as CDR (Corporate Debt Structuring) MFIs are Asmitha, BSFL, FFSL, Share, Spandana and Trident
- **Other MFIs:** All, but the above mentioned 6 MFIs, fall in this category
- MFIs under category of Other MFIs, have further been grouped based on their Average Gross Loan Portfolio (Avg GLP) size in the last three financial years. There are 9 MFIs with Avg GLP > Rs 5 bn, 13 MFIs with Rs 5 bn > Avg GLP > Rs 1 bn, and 19 MFIs with Avg GLP < Rs 1 bn. Complete list of MFIs under different peer groups can be seen in the Annex 1

## c. Exceptions and caveats

The following caveats apply to the analysis presented in this report:

- Analysis of the loan disbursement amounts at the state level does not include data from SKS
- Data on rural/urban, socio-economic break-up and category of loans for loan accounts and GLP does not include data from Bandhan and SKS
- Funding scenario does not include data from Bandhan, SKS, Arman, Muthoot, and L&T
- Data for L&T Finance has not been included in the financial analysis as their microfinance lending is only 1.5% of their total balance sheet

# 1. THE YEAR IN REVIEW

## Microfinance Institutions – Resilient and Strong

More than ever before, the core strength and resilience of the microfinance business model got demonstrated in 2012-13. Overall, with a GLP growth of 21% the industry clearly showed that it is coming out of the shadow of the AP crisis. It also showed the "new normal" created by the framework of regulations put in place by the RBI is good, forward looking and working well for all the stakeholders.

Members' Portfolio (as of 31st March 2013)

- 41 Members (NBFC-MFIs)
- 9,064 Branches
- 61,283 Employees
- 23.2 mn Clients
- Rs 205.45 bn Gross Loan Portfolio (GLP)
- Rs 233.9 bn Loan Disbursements

**Growth**

Compared to FY 11-12, the Gross Loan Portfolio (GLP) of members witnessed a rise of 21% on a pan India basis, with MFIs other than CDR MFIs growing by 41%. Even AP based MFIs came out of the red zone and on an aggregate basis, showed 7% growth. Overall, 82% of MFIN members were able to grow their portfolio the year.

**Diversification**

Post the AP crisis, the industry has seen wide spread diversification across geographies. MFIs now have presence in 27 states and Union Territories. Tamil Nadu, Karnataka, Maharashtra, Gujarat, MP, UP, Rajasthan, Bihar, and Uttarakhand now has more than 10 MFIs operating, signifying pan India outreach of the industry and diversification within.

**Portfolio quality**

The overall Portfolio at Risk 30 (PAR 30) for the microfinance industry was at 9% in FY 12-13, directly driven by overdue in Andhra Pradesh. Group of other MFIs, of all sizes, however, continue to improve their portfolio quality with overall PAR being less than 1%.

**Funding**

There was also a return of funder confidence with total debt funding to MFIs rising by 79%. In FY 12-13, several members raised equity from overseas as well as domestic players.

**Credit Bureau eco-system**

NBFC-MFIs continued their efforts in setting higher standard of performance and compliance with RBI Directions, Fair Practices Code and Industry Code of Conduct. Building on the Credit Bureau ecosystem, this year MFIs focussed on setting improved standards and complying with those standards within MFIN membership. For example, on the submission side, MFIs under MFIN leadership voluntarily decided to set a cut-off date of 7$^{th}$ for monthly submission and progressively moved to fortnightly and weekly submission. On the usage side, besides using Credit Information Reports (CIR) for all lending decisions, MFIs fixed the validity period of 15 days on CIR to minimize the chances of multiple and over lending. MFIN member MFIs are submitting data for over 25 mn loan accounts and using more than 20 mn CIR reports ever month.

**Responsible Business Index (RBIndex)**

To support the industry and individual MFIs in their collective efforts towards building a more responsible business framework by evaluating responsible business principles and practices in their operations and business practices, MFIN has developed and implemented 'Responsible Business Index' (RB:Index). The RB:Index comprehensively covers RBI Fair Practice Code (FPC) and Industry Code of Conduct under five broad areas, Disclosure to customers, customer engagement, institutional process, transparency and violation history.

These broad areas are further divided into 69 sub-parameters to form the maximum total score of 100. MFIs get scores based on the level and degree of performance on these parameters and sub-parameters. The evaluation is made on the basis of self-certification by members. For the year 2012, the overall score for the industry was 89%.

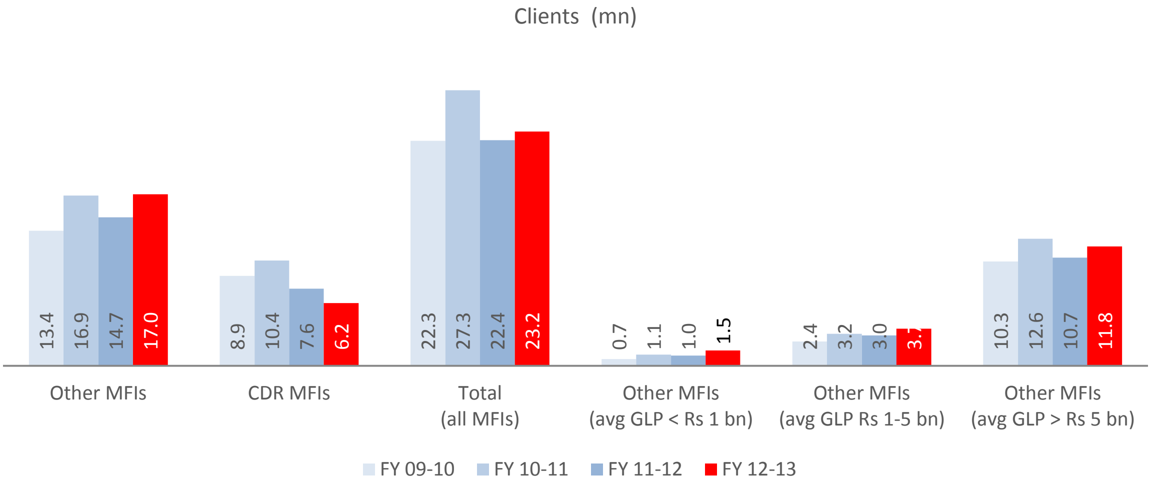
- 29% members have score in band of > 95%
- 25% members have score in band of 90%-94%
- Only 12% members have score of less than 80%

Individual reports were sent to members to help them on benchmarking and working on bridging the gaps. The industry report was also shared with the RBI and other key stakeholders.

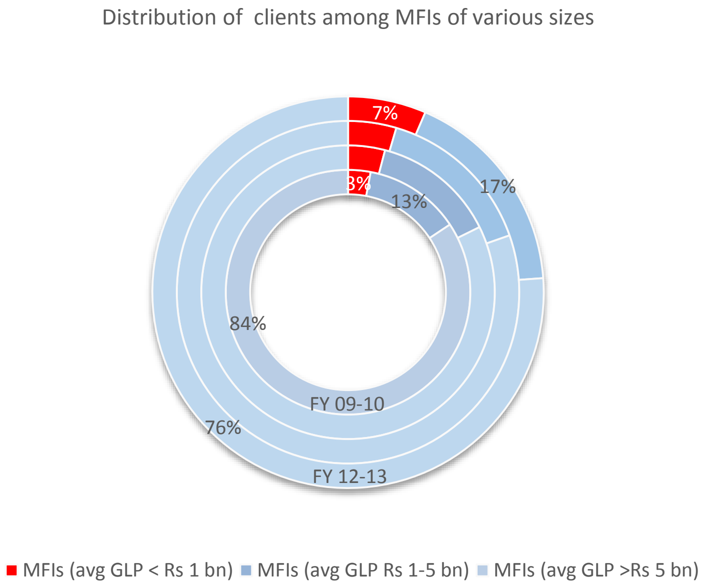
## 2. OUTREACH & PORTFOLIO

### a. Clients

As of 31st March 2013, 41 NBFC-MFIs have a cumulative client base of 23.2 mn. While MFIs under CDR continue to shrink their client base due to write-offs in AP, other MFIs have increased their client base by 15% over the last financial year.

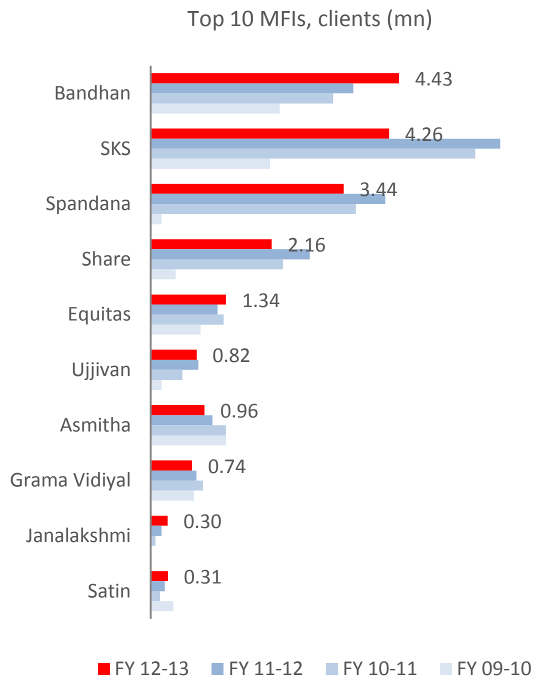


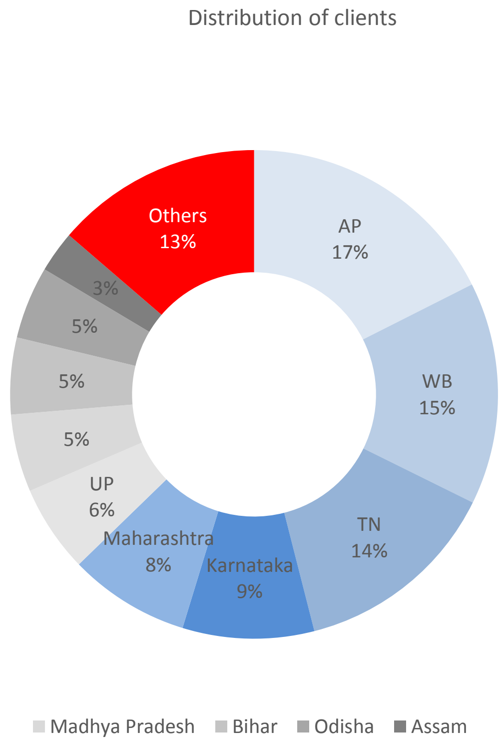

The dominance of large MFIs (avg GLP > Rs 5 bn) remained unchanged as they have 76% of total client base. However, their share in total client base has declined from 84% in FY 09-10.



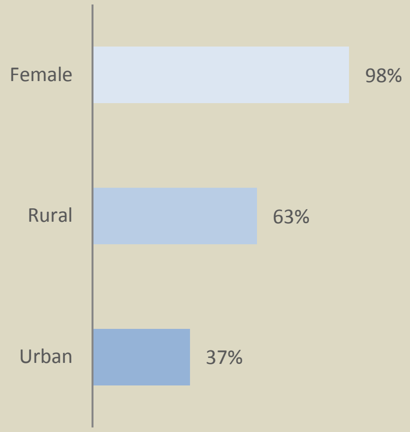
Bandhan has largest number of clients, followed by SKS and Spandana. Among the ten largest MFIs, only three, Bandhan, Equitas, Janalakshmi have been able to increase their client base over the last financial year.

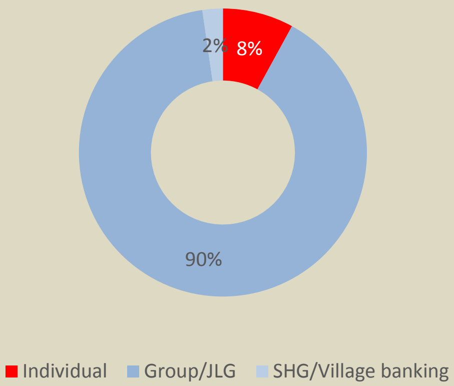
AP remains the top state in terms of client outreach, though largely inactive clients. After AP, West Bengal and Tamil Nadu have largest outreach followed by Karnataka and Maharashtra. Top 5 states (Andhra Pradesh, West Bengal, Tamil Nadu, Karnataka and Maharashtra) account for 63% of the clients

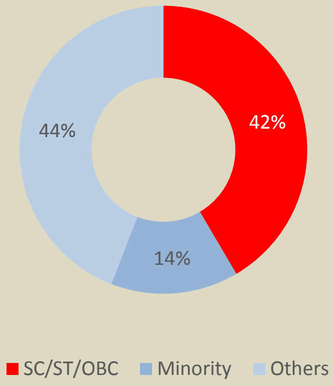


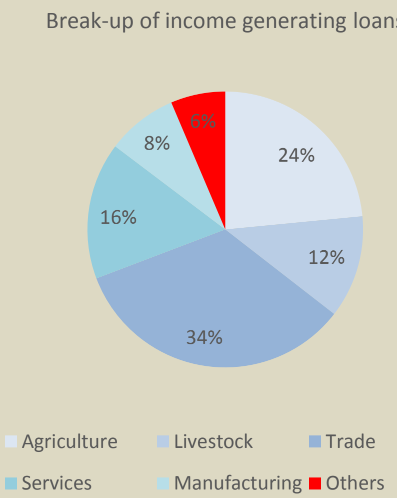
*[1]Industry continues to focus on women in low-income group with disadvantaged socio-economic background in rural areas. However, more recently, MFIs have increasingly started servicing to clients in urban area to meet huge un-met demand of credit services there. In terms of model, joint liability group (JLG) continues to remain prominent model to deliver the credit services.*

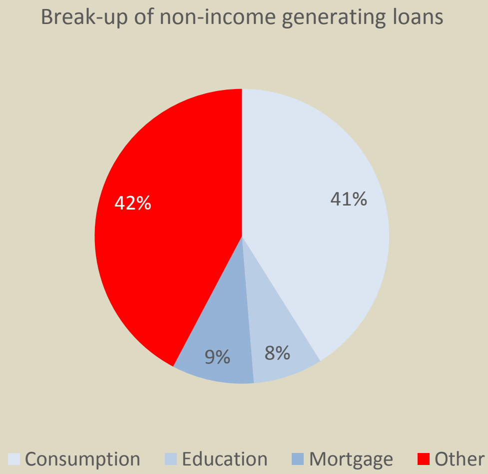



*A large majority of loans 96% are given for income generating purpose such as trade, agriculture, livestock and service.*

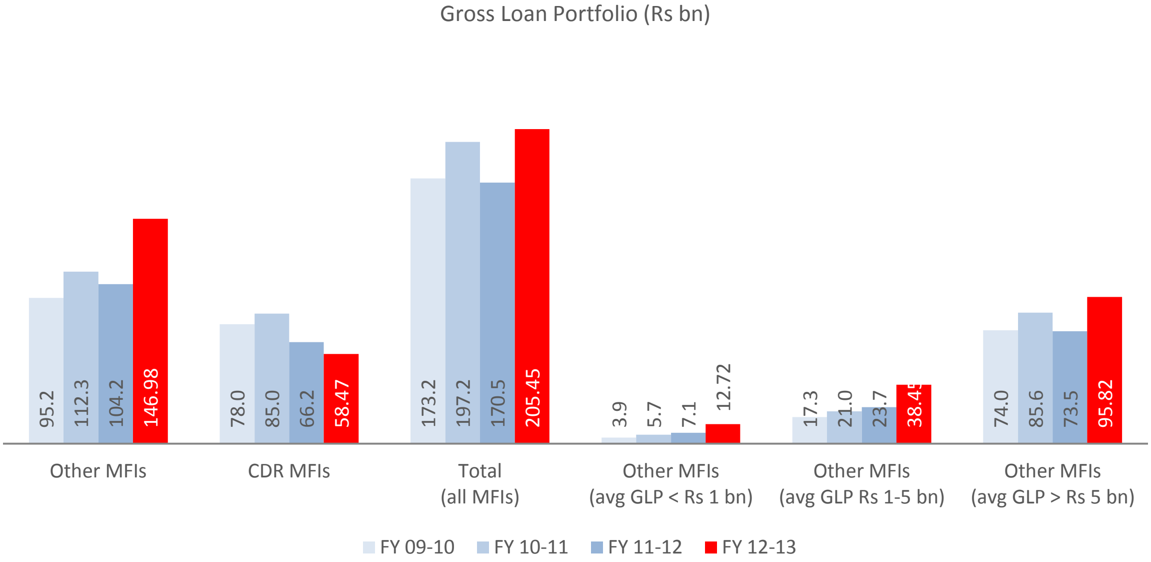


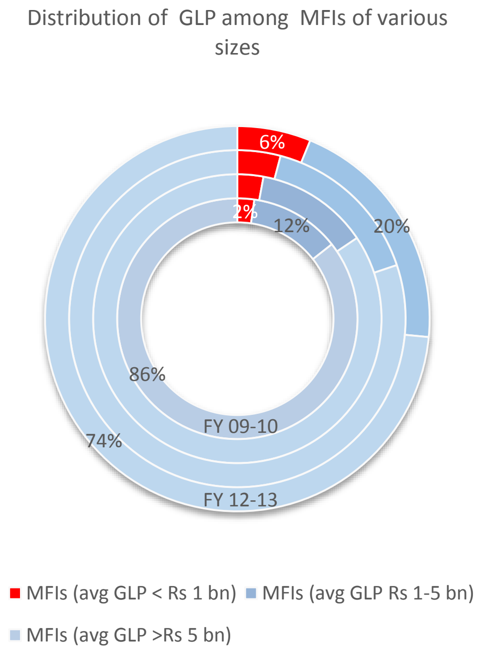

[1] Information presented here is on the basis for loan accounts. It does not include data from Bandhan and SKS

## b. Gross loan portfolio

As of 31st March 2013, MFIs' GLP increased by 21% to Rs 205.45 bn. However, it is important to note that other MFIs as a group had a growth of 41% in their GLP.

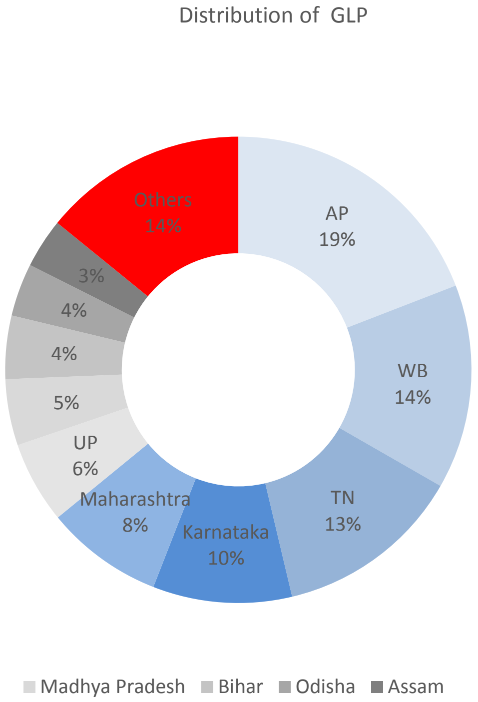


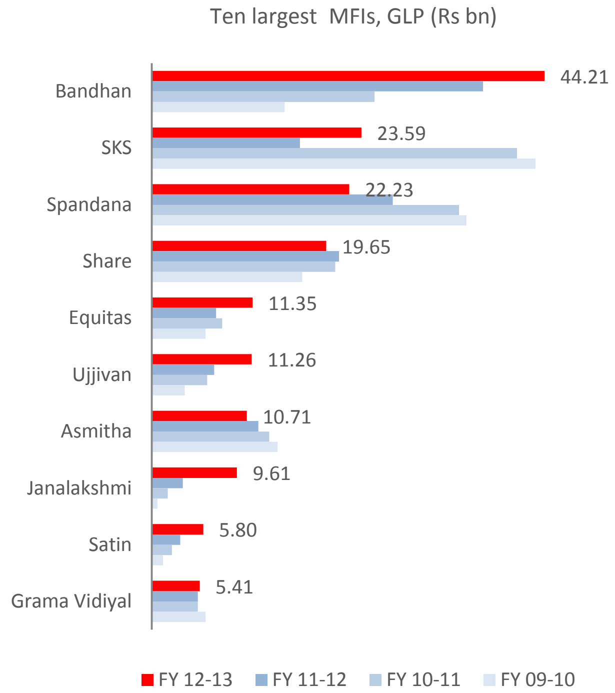

As with other indicators, share of large MFIs in GLP is 74%, though it has decreased from 86% in FY 09-10, largely contributed by decline on GLP of large MFIs under CDR.



AP remains the top state in terms of GLP as significant non-performing portfolios continue to stay on the balance sheet of MFIs. Top 5 states (Andhra Pradesh, West Bengal, Tamil Nadu, Karnataka and Maharashtra) account for 64% of the portfolio.

Bandhan is the largest MFI with GLP of Rs 44.21 bn. While GLP of CDR MFIs have decreased their portfolio over the last financial year, all other MFIs (among group of largest MFIs) have increased their GLP over the last finanical year.

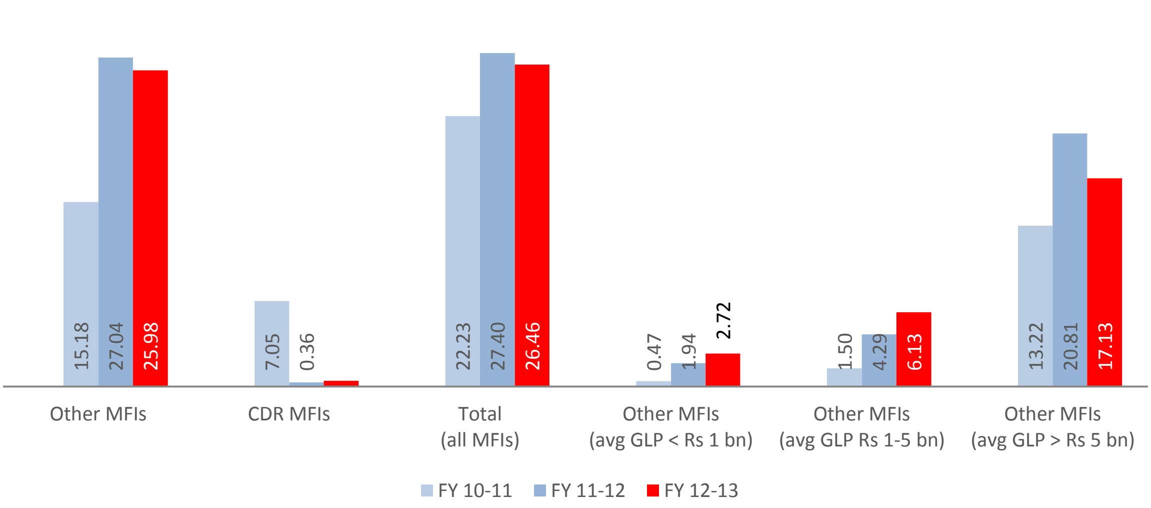


## c. Managed portfolio

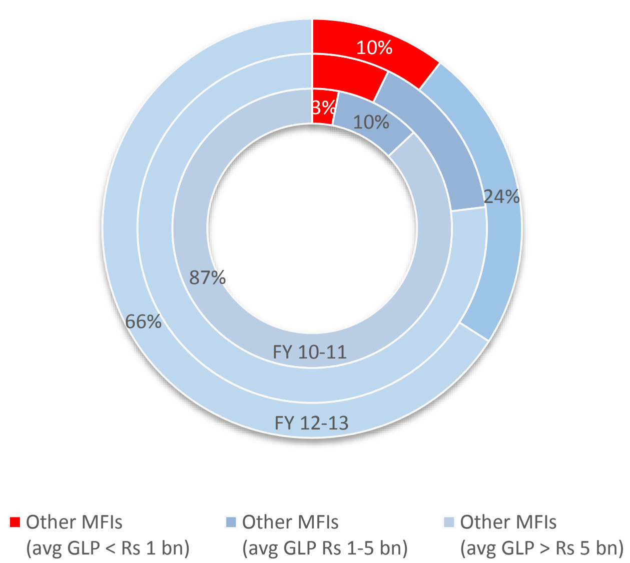
Managed portfolio decreased by 3% on an all India basis in FY 12-13. CDR MFIs as a group have increased their managed portfolio by 33% over the last financial year, driven by one institution. However, managed portfolio as a group has decreased for group of other MFIs, driven by drop in the managed portfolio of a few large MFIs.

Managed portfolio (Rs bn)



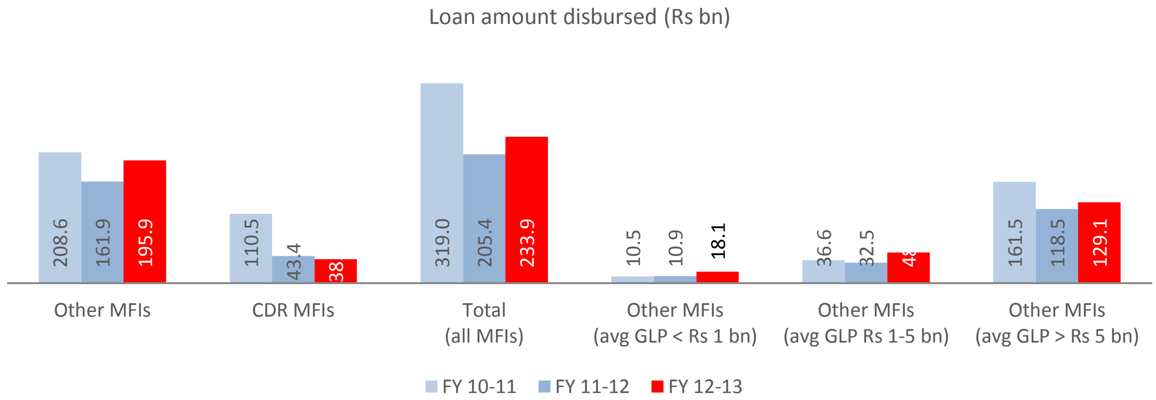

Compared with previous years, large MFIs ( Avg GLP > Rs 5 bn) now have much less share in total managed portfolio of the industry and medium and small size MFIs have increased share in total managed portfolio of the industry. Group of large MFIs in the category of other MFIs have 66% share of managed portfolio in FY 12-13 compared with 87% in FY 10-11.

Distribution of managed porfolio among MFIs of various sizes

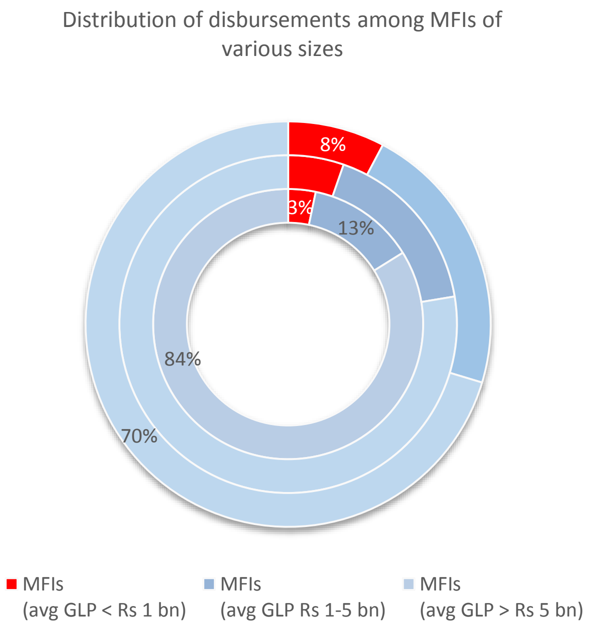


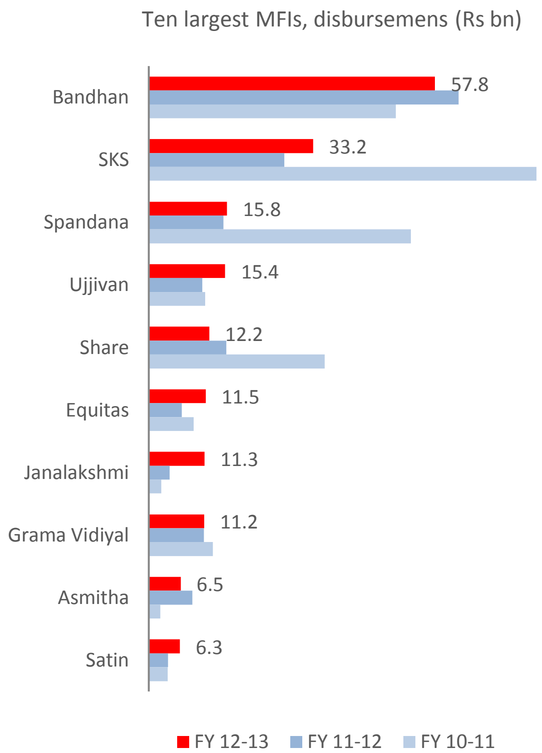
## d. Disbursements

On a pan India basis, disbursements increased by 14% this year, after a drop of 36% last year. Last year MFIs disbursed loans worth Rs 233 bn.



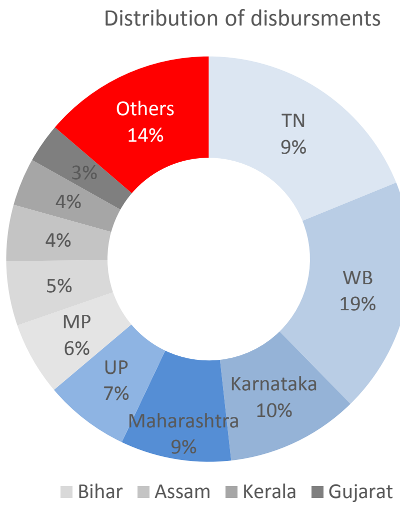

Share of large MFIs in total disbursements decreased from high of 84% in FY 10-11 to 70% in FY 12-13. Among MFIs, Bandhan has largest share (25%) of total disbursement for the industry, followed by SKS and Spandana.



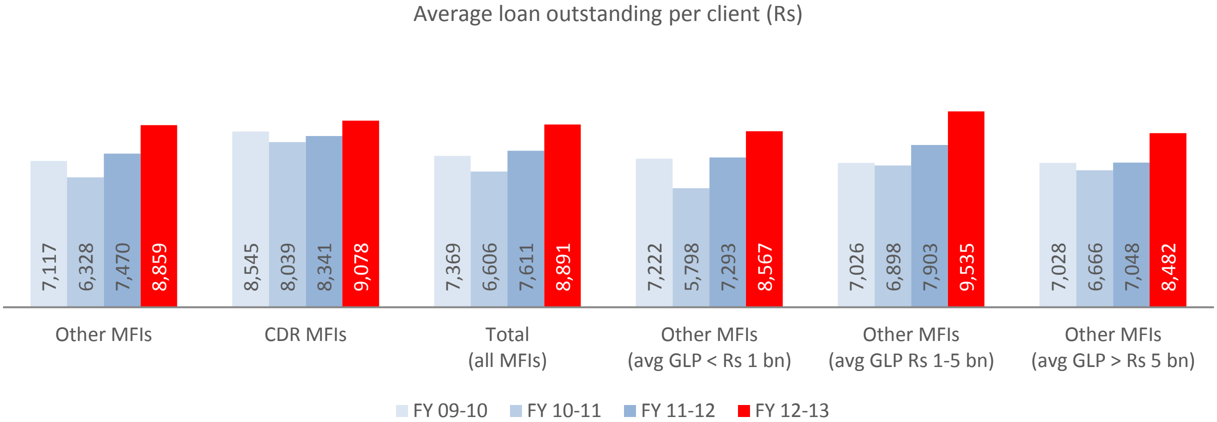
Tamil Nadu tops in terms of loans disbursed, followed by West Bengal, Karnataka, Maharashtra, Uttar Pradesh and Madhya Pradesh. Top 5 states (Tamil Nadu, West Bengal, Karnataka, Maharashtra and Uttar Pradesh) account for 64% of the clients.

*(Amount disbursed numbers given here do not include data from SKS)*




## e. Loan outstanding per client

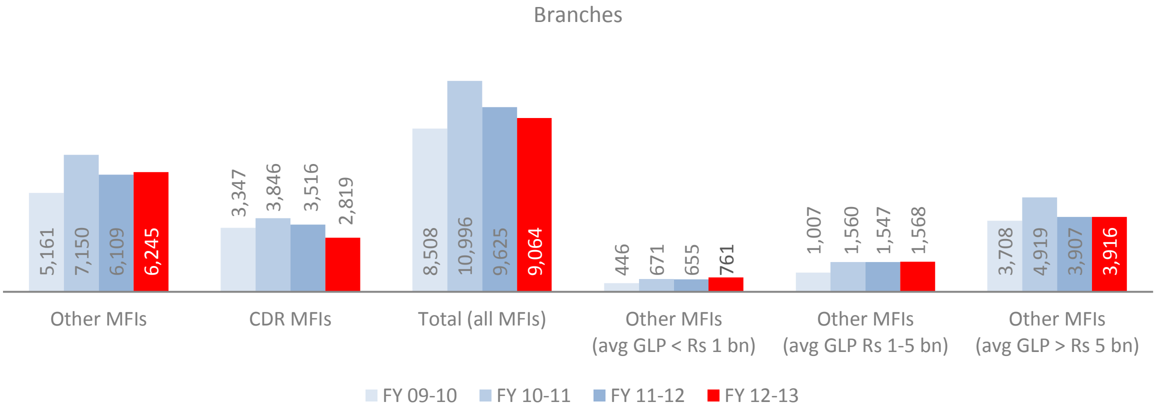
On a pan India basis, average loan outstanding per client in FY 12-13 was Rs 8,891 up by 17% from the previous financial year.



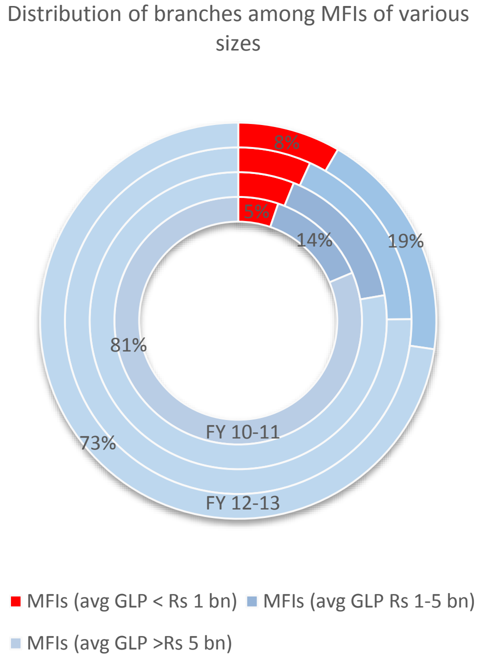
# 3. INFRASTRUCTURE

## a. Branches

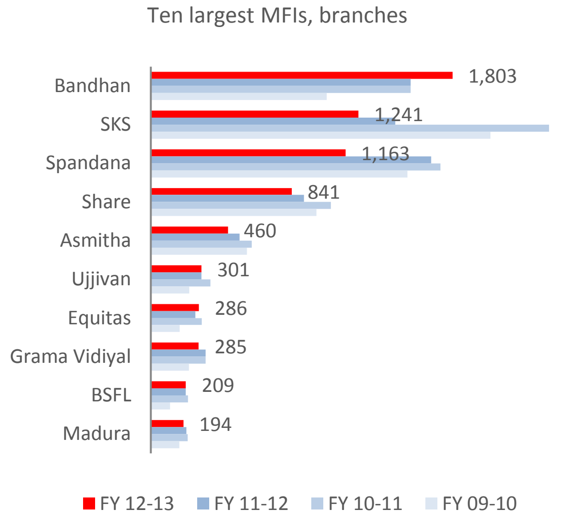
As of 31st March 2013, there were 9,064 MFI branches across 27 states. On a pan-India basis, the number of branches further reduced by 6% from the previous fiscal year. This decrease was attributable completely to CDR MFIs.

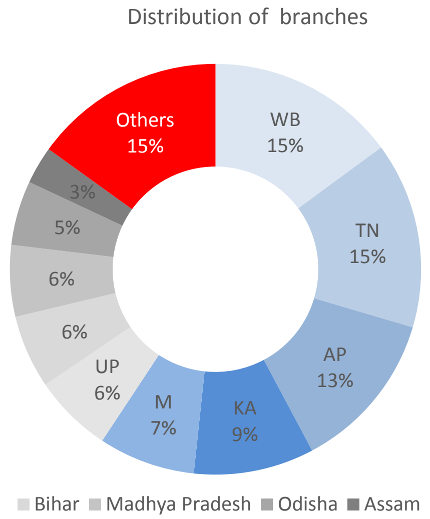



The group of large MFIs (9, with GLP > Rs 5 bn) now have over 73% share of the total branch network from 81% in FY 09-10. Both small and large size MFIs has progressively increased their branch network over the last three years.



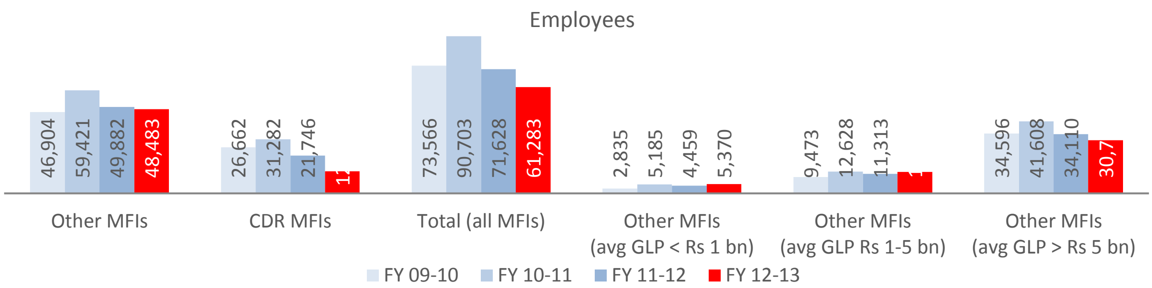
Among institutions, Bandhan had the largest number of branches. Amongst the largest 10 MFIs (in terms of branches), all except, Bandhan and Equitas, have decreased their branch network in FY 12-13. West Bengal now has the largest branch network of MFIs, accounting for over 15% of the all India branch network. Top 5 states (West Bengal, Tamil Nadu, Andhra Pradesh, Karnataka and Maharashtra) account for 59% of the branch network in untry.

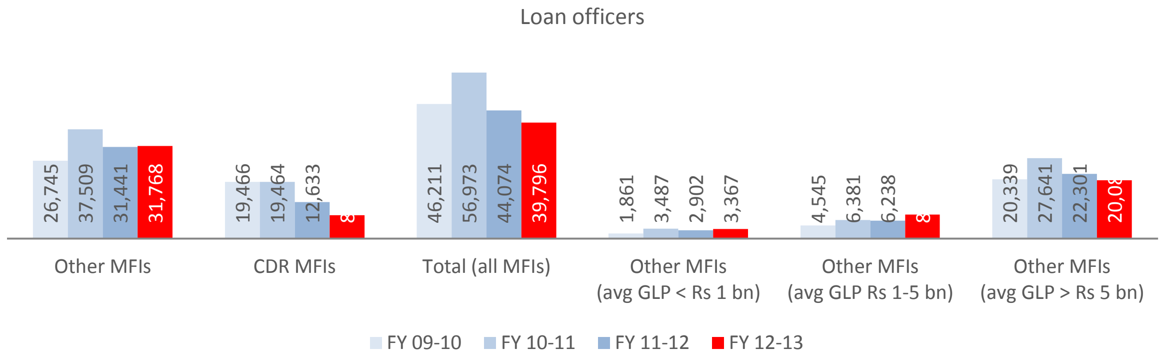



## a. Employees and loan officers

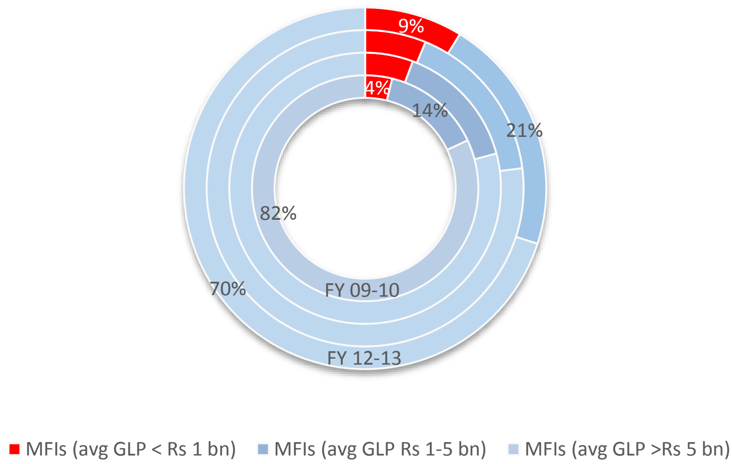
As of 31st March 2013, the cumulative employee strength of the MFIs was 61,283, 11% of them being women. The AP crisis affected not just the portfolio size and client outreach of MFIs, but also the employee base as close to one third employees lost jobs. CDR MFIs decreased their employee base by 41%, for other MFIs decrease was less sharp as they decreased their employee base by 3%. Loan officers are 65% of the employee base.



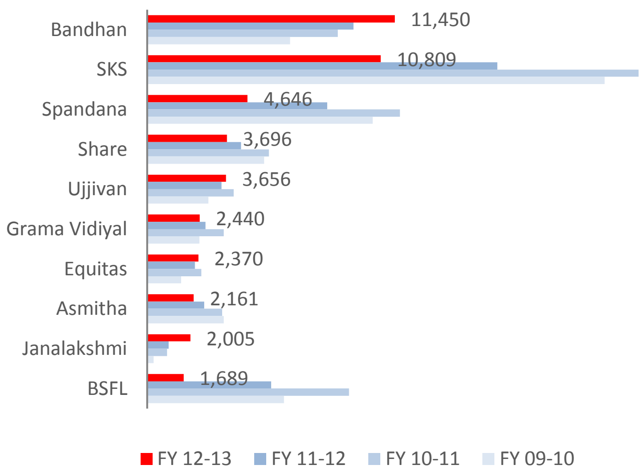
As with the branches, the share of large MFIs in total employee base is down to 70% from 82% three year back in FY 09-10. Among institutions, Bandhan had the largest employee base of over eleven thousand.

Distribution of employees among MFIs of various sizes



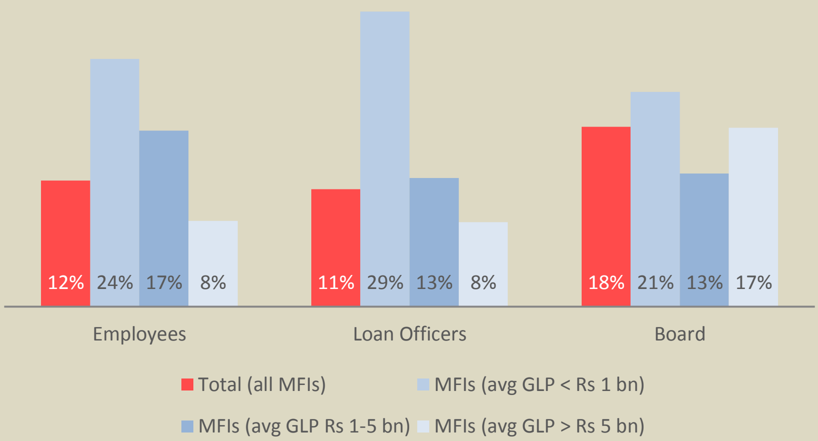

Amongst the largest 10 MFIs (in terms of employee), Bandhan, Ujjivan, Equitas and Janalakshmi have increased their employee base over the last financial year.

Ten largest MFIs, employees




*In terms of gender, there are 11% females at the loan officer's level, 12% at total employee level and 18% at a Board level. Smaller MFIs have relatively larger share of women at different levels of the employment.*

Share of women at various levels of employment

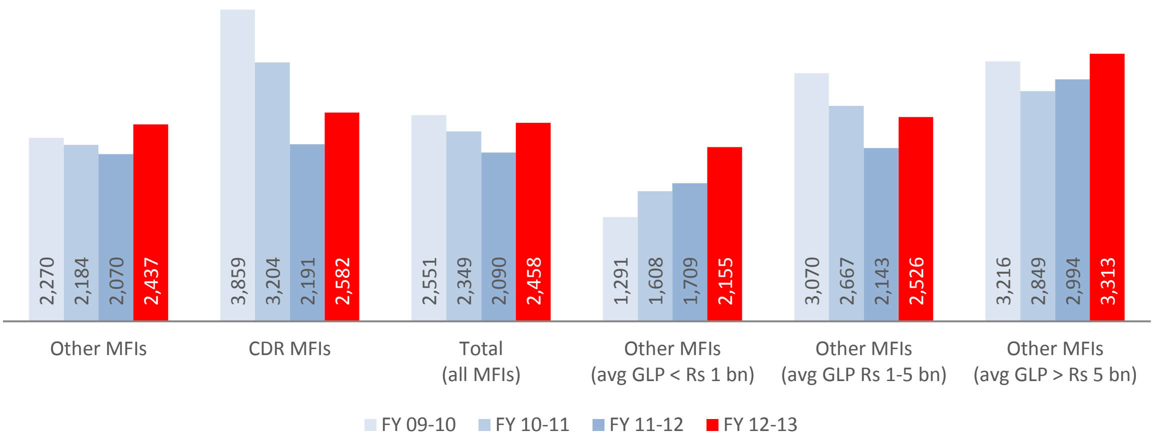


# 4. EFFICIENCY & PRODUCTIVITY

## a. Branch ratios

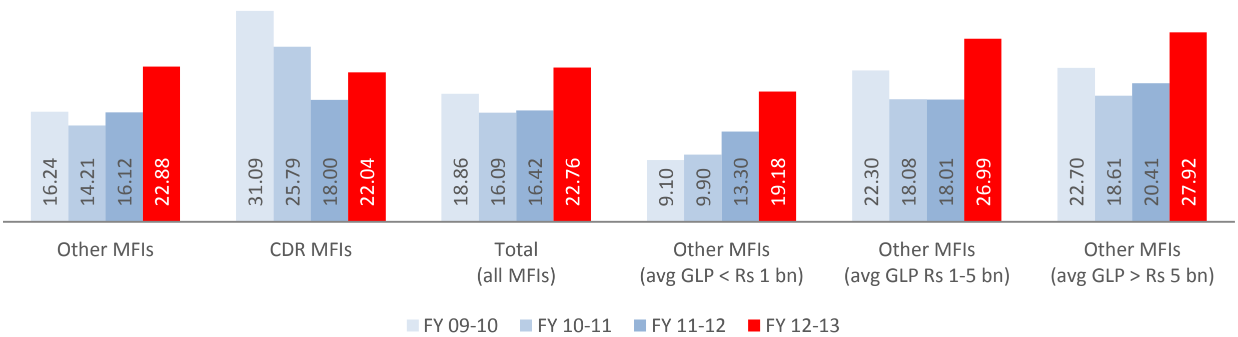
Brach ratios, clients per branch and GLP per branch, have improved across all types and size of MFIs. As of 31st March 2013, on average, a microfinance branch served 2,458 clients improving the ratio by 18% over the previous financial year. Branch ratio improves with the size of MFI.

Clients per branch




On a pan India basis, on average, a branch has a portfolio of Rs 22.76 mn compared to Rs 16.42 mn in FY 11-12, reflecting an increase of 39% over previous financial year. For the CDR MFIs, increase is explained by the fact that non-performing AP portfolio continue to exist while branch network has shrunk. Other MFIs have are having much larger portfolio per branch under pressure on the margins. Like clients per branch, GLP per branch is higher for large MFIs.

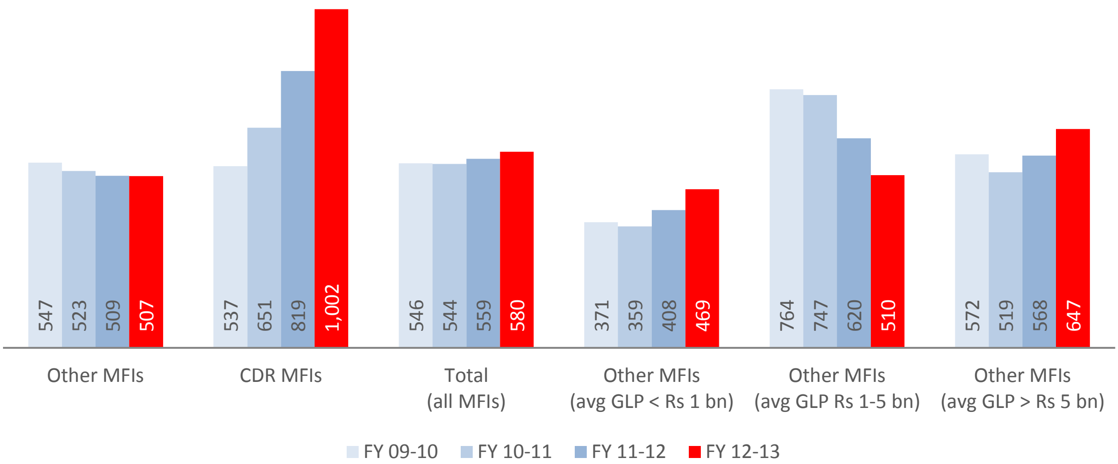
GLP per branch (Rs mn)



## b. Loan officer ratios

As of 31st March 2013, a loan officer serves to 580 clients. Client per loan officer ratio has improved marginally by 5% on all India basis. CDR MFIs have much higher client per loan officer ratio as non-active AP clients continue to exist on the books while loan officer count has decreased significantly in AP. With scale, the client per loan officer ratio improves.

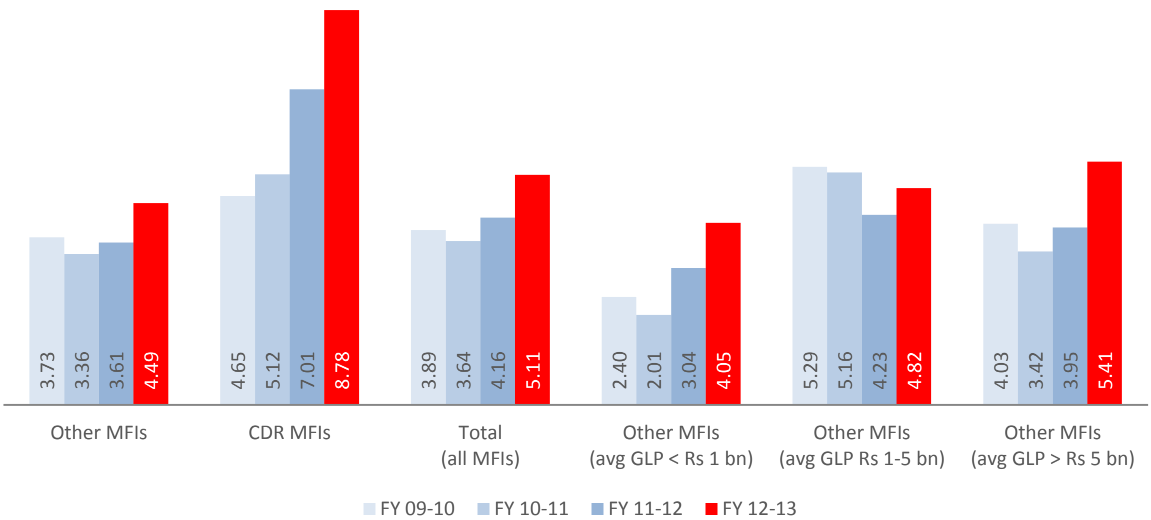
Clients per loan officer




As of 31st March 2013, on an average loan officer managed a portfolio of Rs 5.11 mn. This ratio has improved significantly over time as MFIs have substantially reduced their headcounts. However, CDR MFIs show much higher GLP to loan officer ratio as AP portfolio continue to be on the books though they have reduced the loan officers.

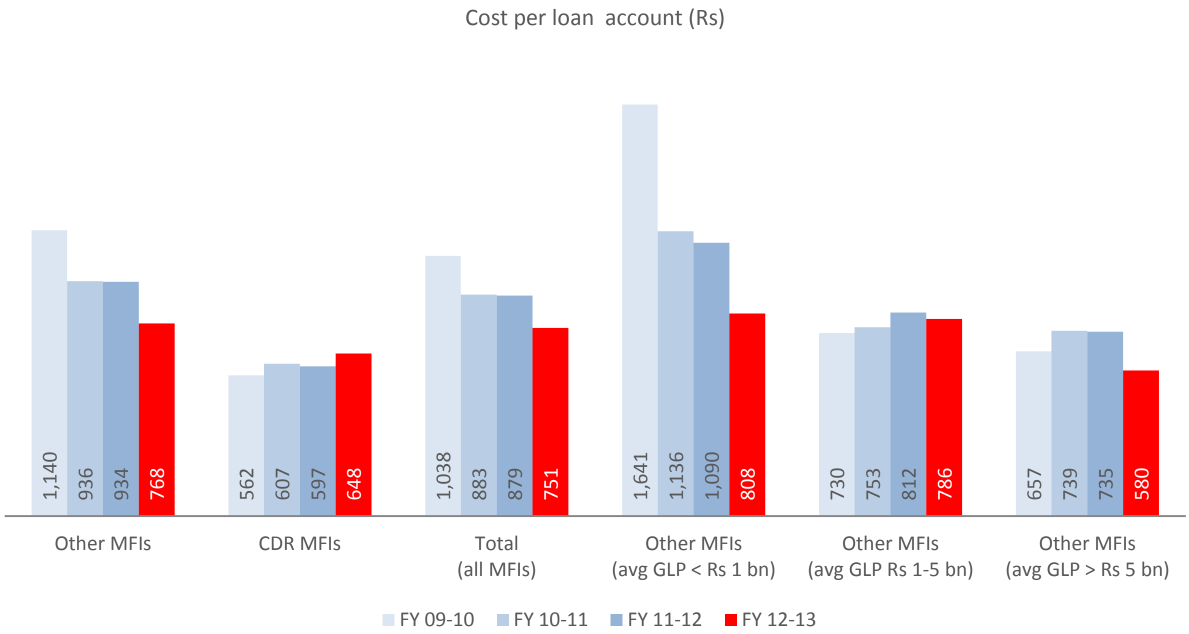
Like other efficiency indicators, GLP per loan officer ratio improves with the scale of the MFIs. The loan officer of large MFIs has almost 1.3 times the portfolio compared to smaller MFIs.

GLP per loan officer (Rs mn)



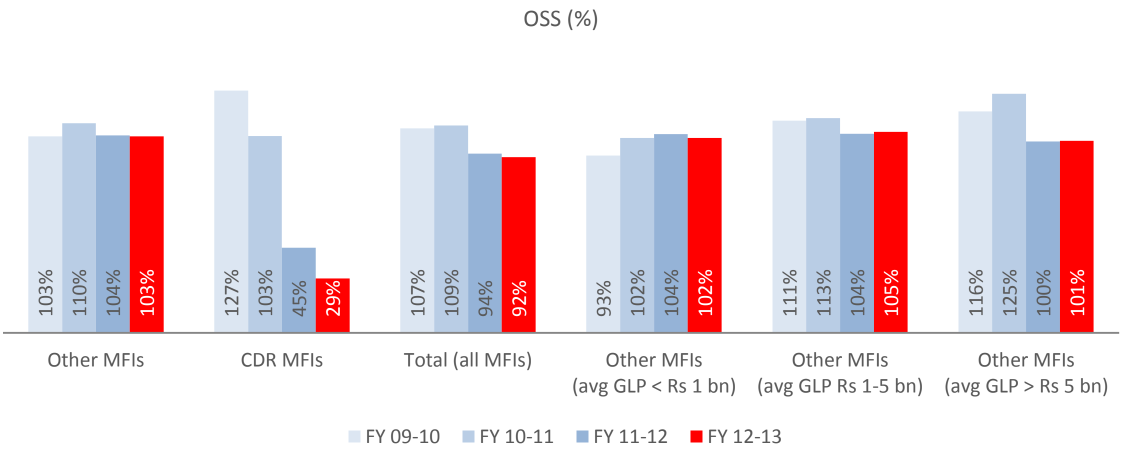
## c. Cost per loan account

As of 31st March 2013, MFIs on average spend Rs 751 on each loan account. This ratio has constantly improved over the years.




## d. Operational self sufficiency

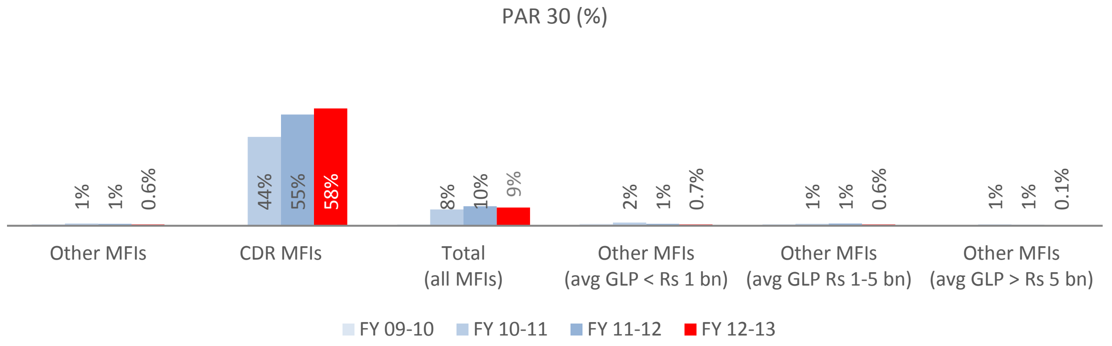
The operational self sufficiency (OSS) for the industry was at above 100% with the exception of CDR MFIs in FY 12-13.

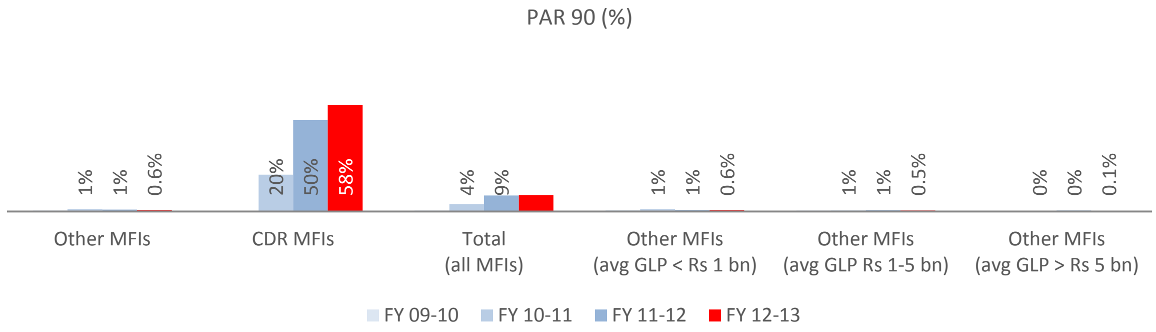


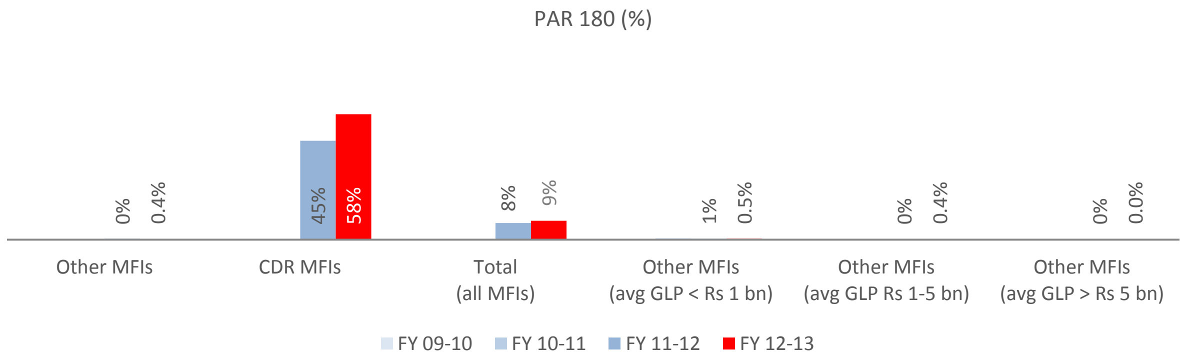
# 5. PORTFOLIO QUALITY

## a. Portfolio at risk

The overall portfolio at Risk 30 (PAR 30) for the microfinance industry was at 9% in FY 12-13, directly driven by overdue in Andhra Pradesh. Group of other MFIs, of all sizes, however, continue to improve their portfolio quality with overall PAR being less than 1%.

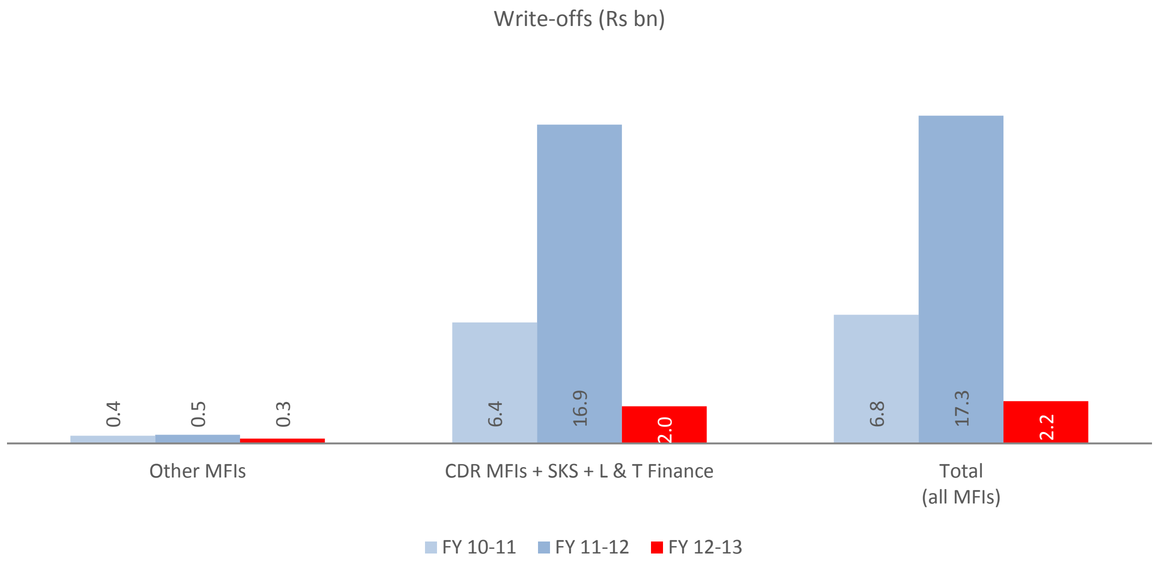


## b. Write-offs

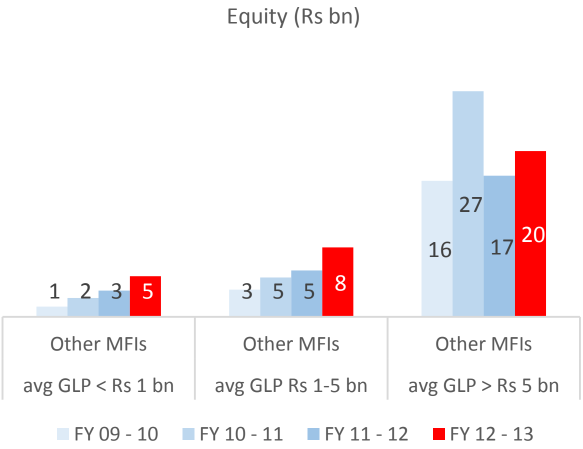
Since the promulgation of the Andhra Pradesh Microfinance Institutions (Regulation of Moneylending Act) 2010, the microfinance industry as written off loans to the extent of Rs 26.38 bn, 96% of them by CDR MFIs along with SKS and L & T Finance. In FY 12-13, NBFC MFIs written-off loan totalled Rs 2.2 bn, of which CDR MFIs along with SKS and L & T Finance accounting for 88%.

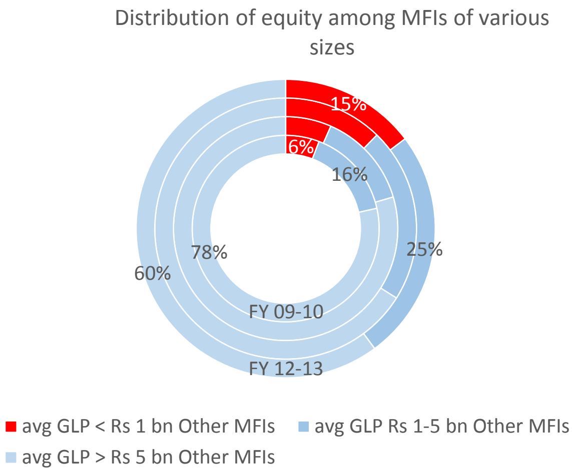


# 6. FUNDING

## a. Equity

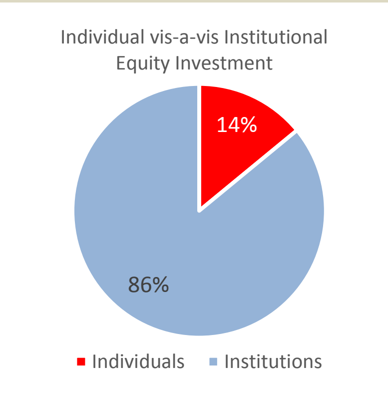
MFIs (excluding CDR MFIs) of all sizes were able to increase equity in FY 12-13. In terms of percent growth, medium sized MFIs (avg GLP Rs 1-5 bn), succeeded in generating highest (50%) growth. On other hand, it may also be noted that large MFIs (avg GLP > Rs 5 bn) held around 60% of the total equity available to the industry. The charts below shows the equity for MFIs not under CDR only.

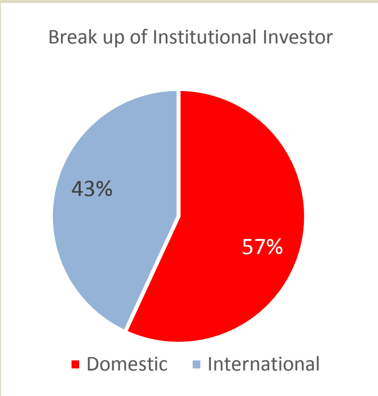


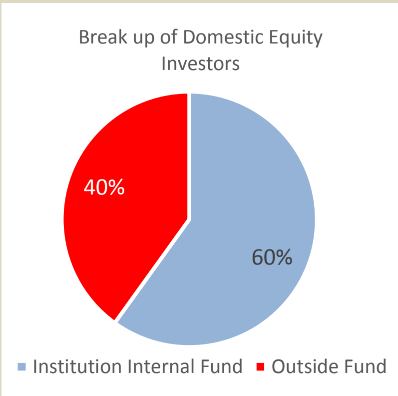




### *i) Break up of equity*[2]

As of 31st March 2013, equity to the sector has come from predominantly institutional investors (86%). Out of total institutional investors, 57% has been domestic while 43% has been international investors.




[2] Break up equity information does not include data from Bandhan, Jagdhan and SKS

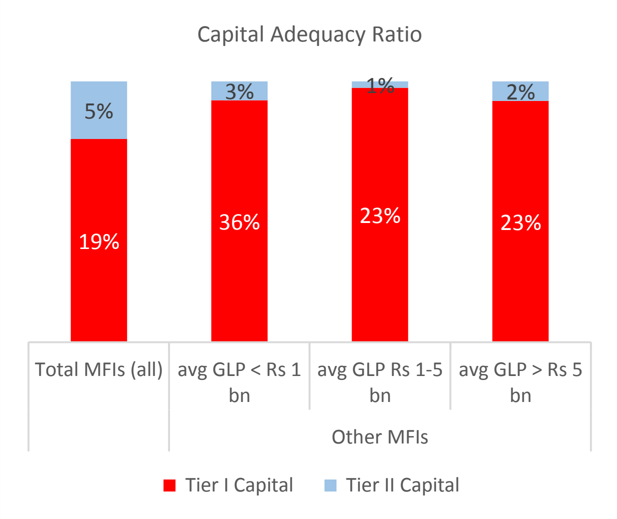
It may also be noted further that, the domestic equity investment that stands as major contributor to the institutional equity investment, had its larger share coming from "Institutional Internal Fund" (60%), which means sources like the following:

- Parent / holding / subsidiary company of the MFI,
- Trusts formed by the parent / holding / subsidiary company of the MFIs,
- SHG fund / federations / Associations,
- Employee welfare trusts run by MFI,
- Mutual benefit trusts created by MFIs

### *ii) Capital Adequacy Ratio*

*It is noteworthy that most MFIs operated at a substantially higher CAR than what is mandated by RBI (15%). It may also be inferred from the table below that smaller MFIs (avg GLP < Rs 1 bn) found it difficult to leverage adequately by raising debt.*

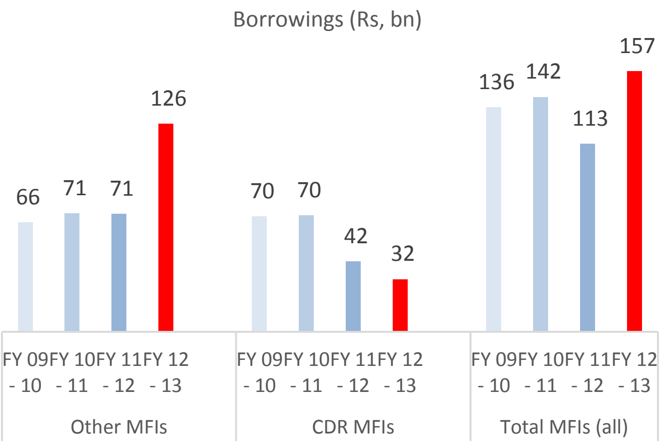
| ***Capital Adequacy Ratio[3]*** | | ***Average*** |
|---|---|---|
| ***Total MFIs (all)*** | | *24%* |
| ***Other MFIs*** | *avg GLP < Rs 1 bn* | *38%* |
| | *avg GLP Rs 1-5 bn* | *23%* |
| | *avg GLP > Rs 5 bn* | *25%* |

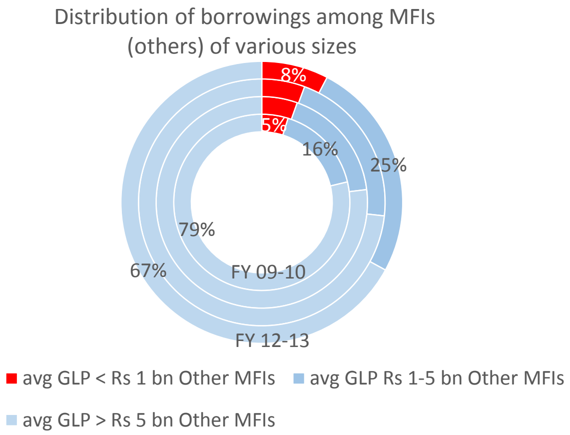



## b. Borrowing

Outstanding borrowing of the MFIs (other than CDR MFIs) increased by 77% in FY 12-13. On other hand, it is not surprising that total debt outstanding for MFIs under CDR has dropped steadily in the past two years, with a decline of 40% in FY 11-12 and 25% in FY 12-13.

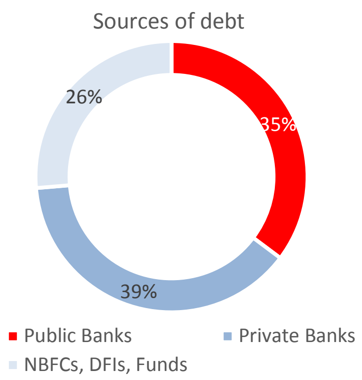
In FY 12-13, small (avg GLP < Rs 1 bn) and medium MFIs (avg GLP Rs 1-5 bn) could increase the share of borrowing to 8% and 25% respectively. This shows overall recovery of the sector.

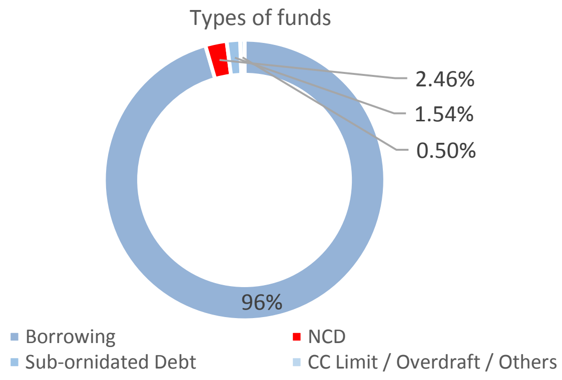


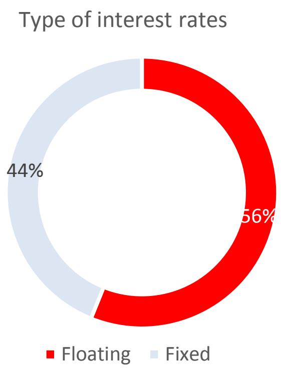



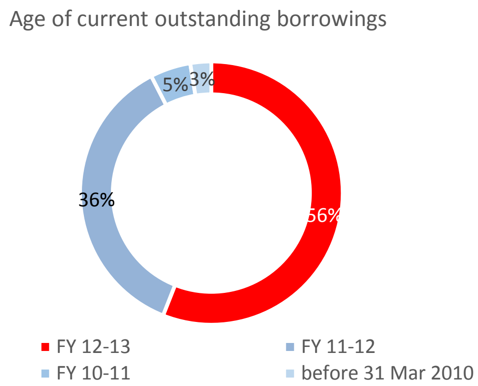

[3] CAR information does not include data from BSFL, SKS, Sonata, Swadhaar and VFS

[4]Funding for the microfinance industry has largely been through three broad category of institutions – Private commercial Banks, Public Sector Banks and other financial institutions. The category of private commercial banks includes multinational banks while other financial institutions includes Small Industries Development Bank of India (SIDBI), NABARD, IFC, NBFCs and Development Financial Institutions (DFIs) and funds. Of the three categories, the private sector banks (39%) have been the biggest lenders to the MFI sector.




Debt is fairly equally distributed between floating (66%) and fixed (44%) rates. It may further be noted that 96% of the total debt received by the industry is in the form of borrowings while other types of funds such as NCDs, sub-ordinated debt and cash credit are marginally availed by the industry.

Also noteworthy is the fact that of the total debt outstanding on 31st March 2013, the highest proportion (66%) originated in the same fiscal year. Prior to that large scale funding to the industry had taken place in the first half of FY 11-12. This indicates shorter tenor of the loans available to the industry. As mentioned in the table below the average tenor of loans available for the industry is 28 months. The table further provides the range of loan tenor for the industry along with interest rates of borrowing in the industry:

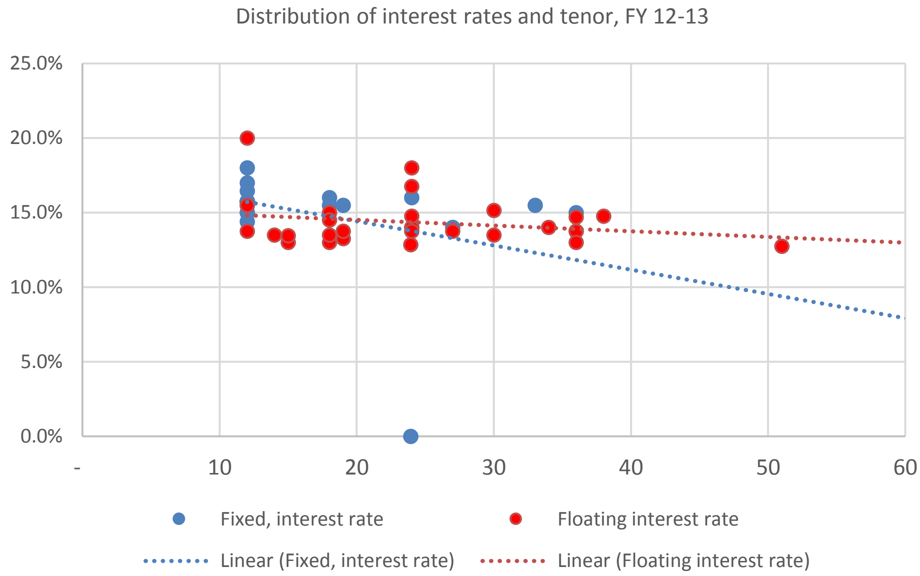
| Tenor and Interest rates | Average | Min | Max |
|---|---|---|---|
| Tenor (months) | 28 | 5 | 96 |
| Fixed, interest rate | 14.30% | 3.50% | 18% |
| If floating (reference + spread) | 13.79% | 9.70% | 20% |

[4] Break up of funding does not include data from Bandhan, Disha, Jagran, Jagdhan and SKS

The figure below further illustrates the distribution of tenor and interest rates of borrowings in the industry:

- The most prevalent tenors are 12, 18, and 36 months while tenor more than 48 months are rare
- Borrowing rates for loans mostly fall between 10% and 16%

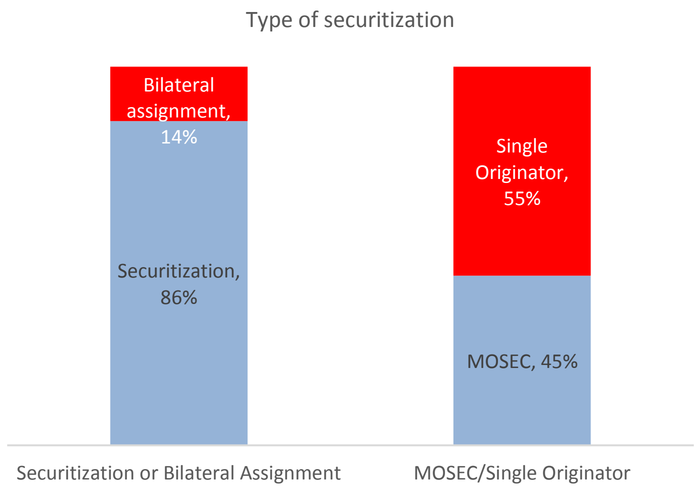
It may also be inferred from the graph presented below that the loans with higher tenor are more likely to have relatively less interest rates.




## c. Securitization / Bilateral assignment

Selling one's portfolio is another mode of raising fund for MFIs. MFIs collectively entered into transaction size worth more than Rs 31 bn, as securitization / bilateral assignment during FY 12-13. A major share out of such transactions was in the form of securitization (86%).

Further, as shown in the graph below, the amount of transaction / purchase consideration from Single originator deal was more than that from MOSEC transaction. However, in terms of number of transactions, the Single originator deal were just 35% of the total number of transactions. This showcases the larger transaction size in case of single originator transaction.



The effective annual rate for securitization / bilateral assignment during FY 12-13 ranges between, 11% - 16%.

| | Effective Annual Rate | | |
|---|---|---|---|
| | Average | Min | Max |
| **Securitization** | 13.2% | 11.0% | 15.4% |
| **Bilateral Assignment** | 14.3% | 12.0% | 16.3% |
| **MOSEC** | 13.4% | 11.6% | 16.1% |
| **Single Originator** | 13.3% | 11.0% | 16.3% |

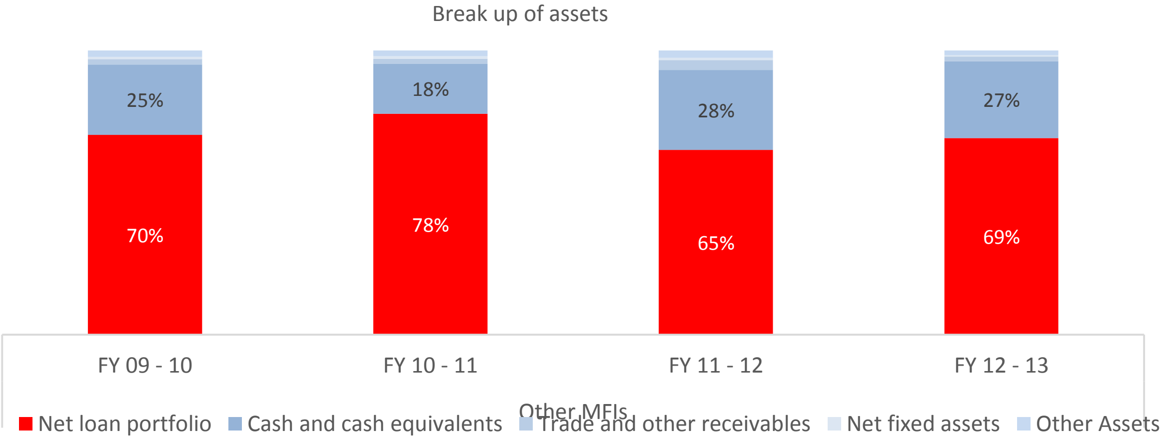
| | FLDG with originator | | |
|---|---|---|---|
| | Average | Min | Max |
| **Securitization** | 11.8% | 8.0% | 23.0% |
| **Bilateral Assignment** | 12.5% | 0.0% | 30.0% |
| **MOSEC** | 11.7% | 8.1% | 15.1% |
| **Single Originator** | 12.3% | 0.0% | 30.0% |

Another important feature of securitization / bilateral assignment is the FLDG (First Loss Default Guarantee) with the originator. A great variation in FLDG is observed in the Industry. FLDG % may go as high as 30% in some cases whereas it may be completely foregone in other.

# 7. BALANCE SHEET ANALYSIS

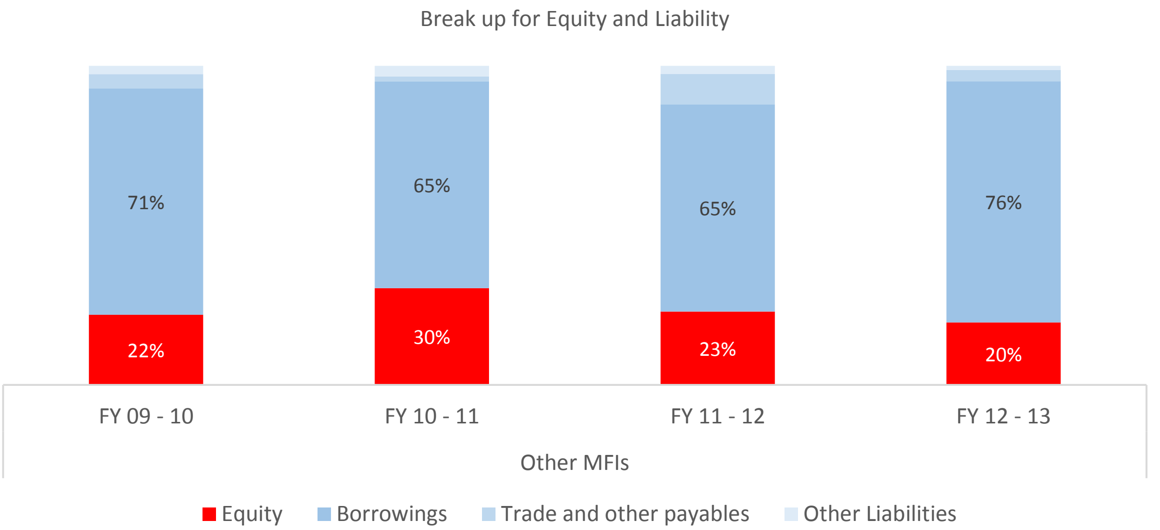
## a. Assets

The following graph provides the composition of assets across five categories (for MFIs other than CDR MFIs). It may be noted that fixed assets and trade receivables formed a marginal percentage of the aggregate asset base for the microfinance industry.



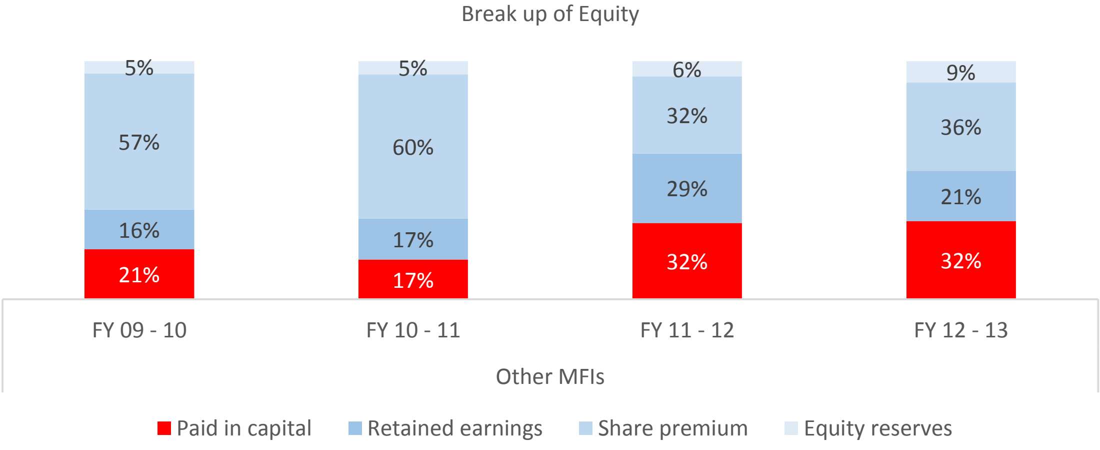

## b. Equity and liability

During FY 12-13, there has been change in the composition of equity and liability (for MFIs other than those under CDR) in the balance sheet towards higher leverage.



## c. Equity

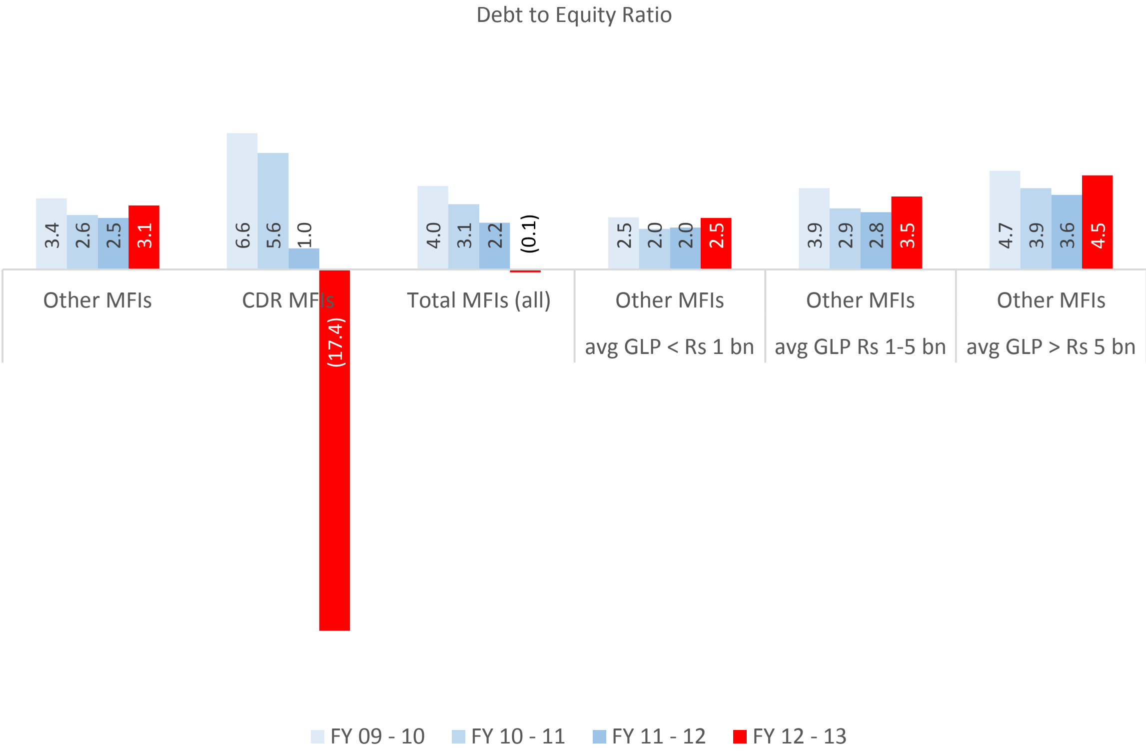
For FY 12-13, total equity for MFIS (other than CDR MFIs) saw YOY increase of 17%, wherein, the paid in capital witnessed 20% increase. Paid in capital has seen steady increase during last couple of years as shown below.




## d. Debt to equity ratio

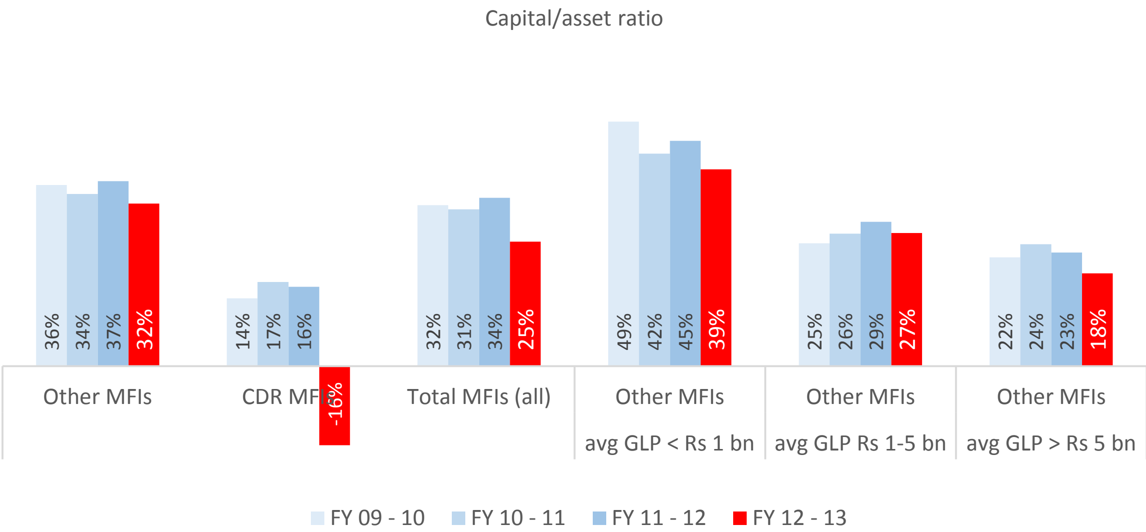
MFIs, other than those under CDR witnessed substantial growth in FY 12-13. As may be observed from the previous sections, MFIs with smaller portfolios have lower levels of leverage. Also the overall leverage of MFIs has dipped on a pan India basis owing primarily to MFIs under CDR.

It is noteworthy that MFI with avg GLP > Rs 5 bn portfolio enjoyed the highest debt equity ratio. The dip in the ratio in FY 10-11 and FY 11-12 indicates lull in funding that MFIs witnessed during the two financial years.



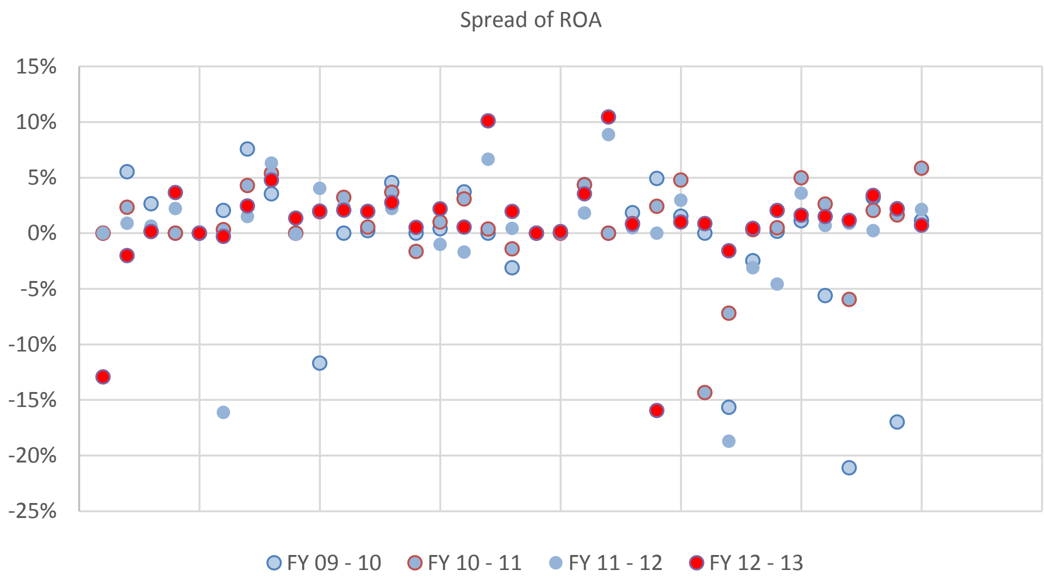
## e. Capital to asset ratio

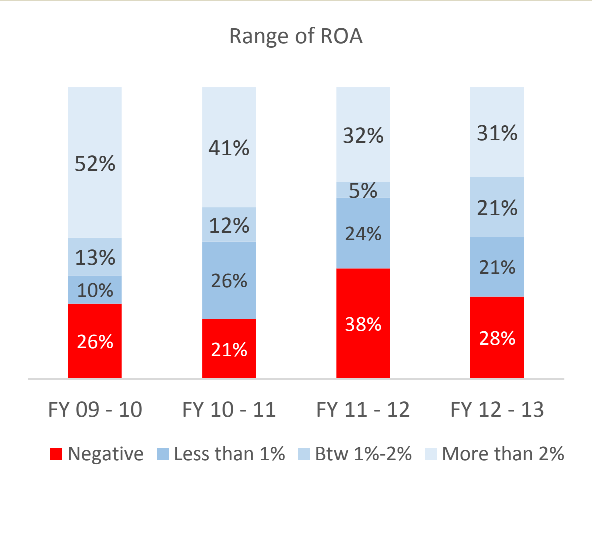
The capital asset ratio has remained constant for the industry over the last four years, with a slight dip in FY 12-13. Looking at the ratio it appears that MFIs are yet to leverage on capital increase in FY 12-13.

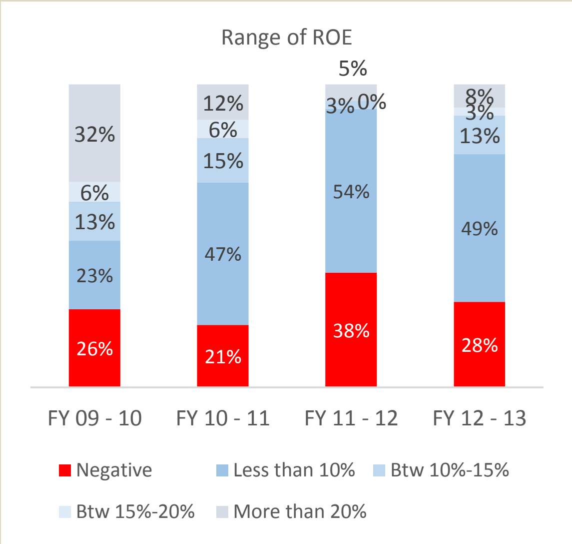



## f. ROA

The return on assets (ROA) for the industry varies so much that only a few broad conclusions can be made. The graphs below indicate the ROA across the industry for past four years. However, it is evident that number of MFIs with negative ROA has reduced considerably (from 38% to 28% in FY 11-12 to FY 12-13). Also, it is noteworthy that more than 52% MFIs witnessed ROA more than 1% in FY 12-13, while the same ratio was 37% in FY 11-12.

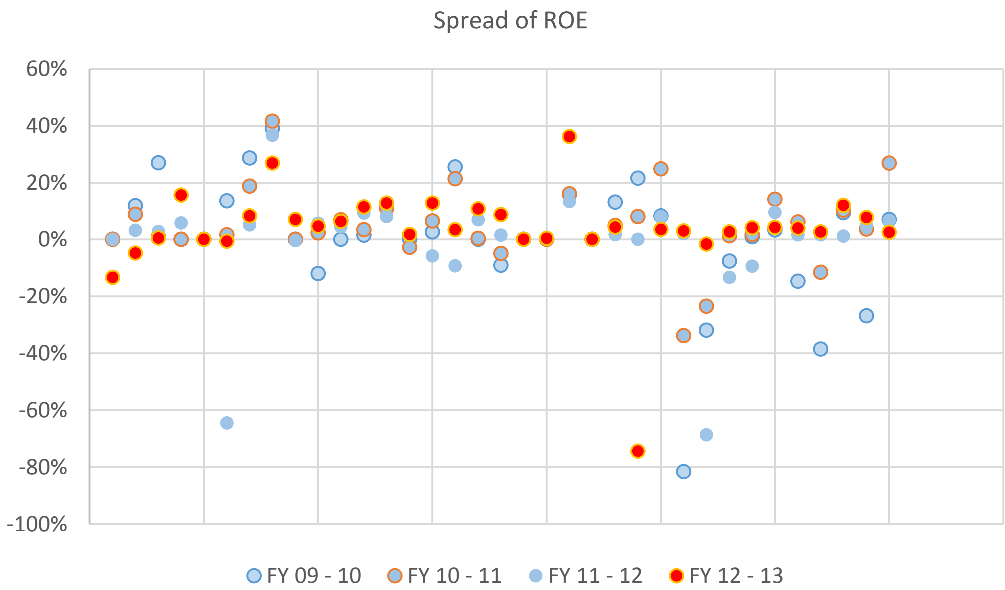





## g. ROE

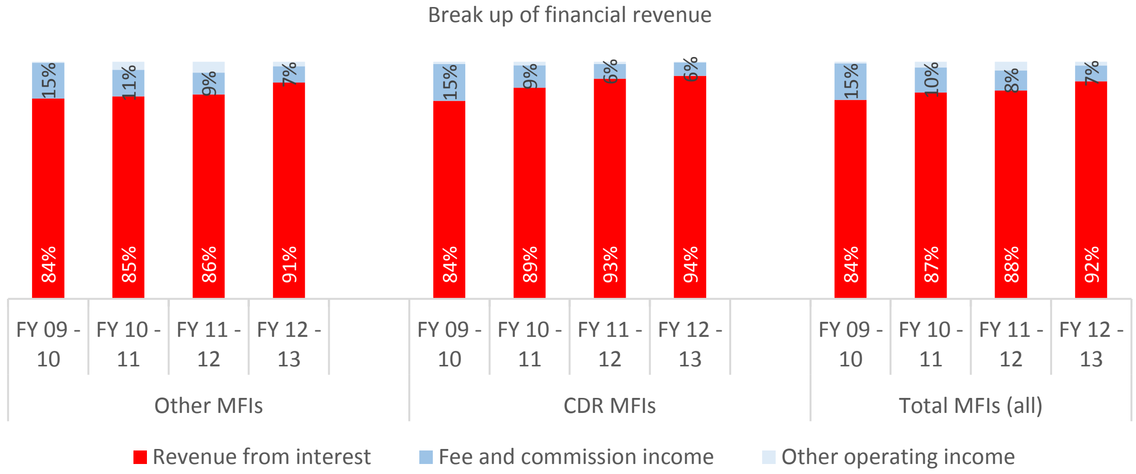
Return on equity (ROE) follows a similar pattern as that of ROA. Here too the variation is wide across the industry. As in case of ROA, number of MFIs with negative ROE has reduced considerably (from 38% to 28% in FY 11-12 to FY 12-13). Also, it is noteworthy that more than 24% MFIs could achieve ROE more than 10% in FY 12-13, while the same ratio was just 8% in FY 11-12.



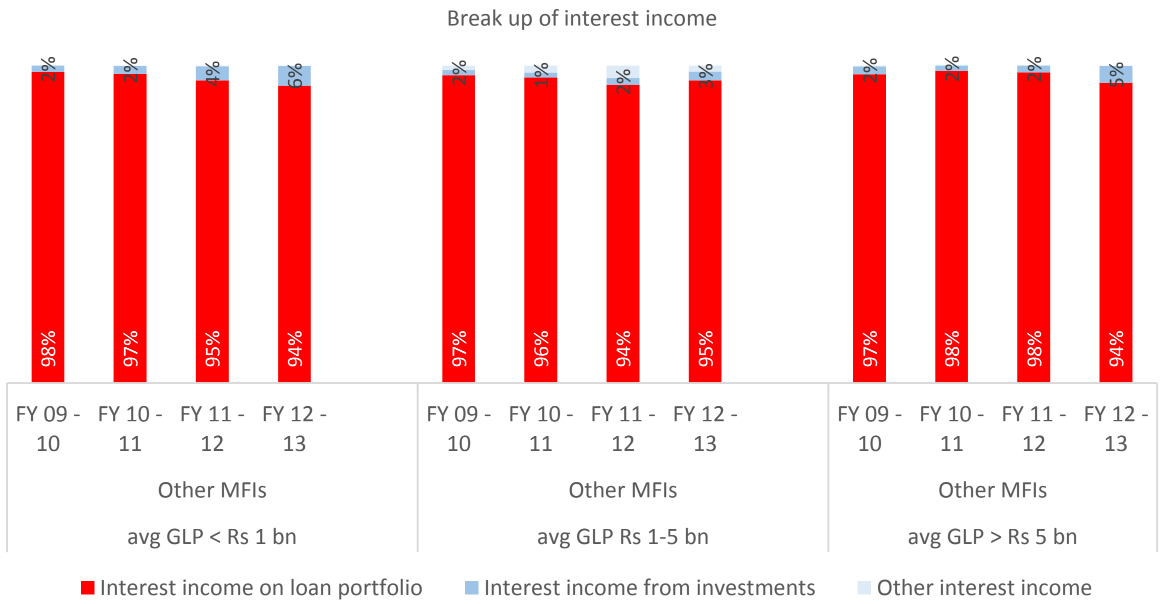
# 8. INCOME STATEMENT

## a. Break up of income

Interest and fees are the major components of an MFI's income. With the new RBI directives, imposing stringent caps on fees, contribution of interest income has been increasing steadily in the past three years.

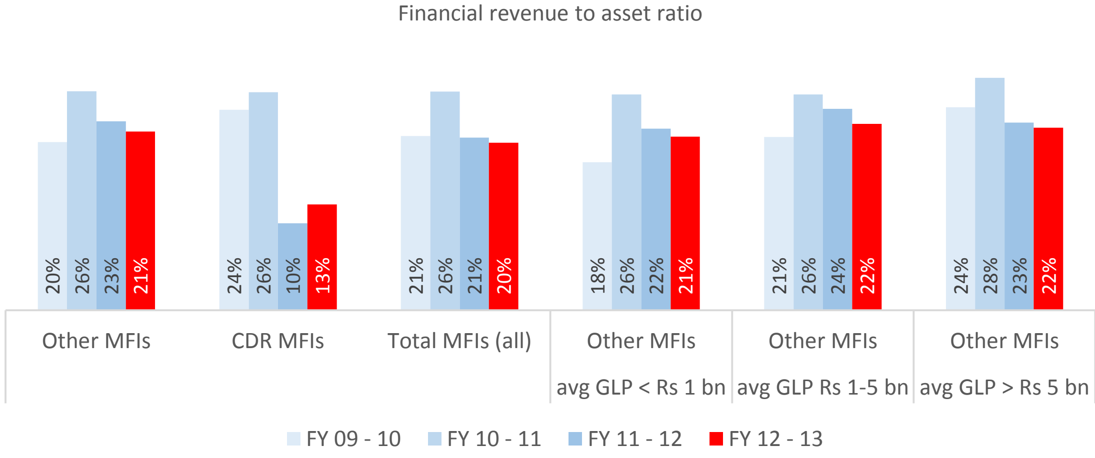



Further, the graphs below also shows that the interest income for MFIs is predominantly from loan portfolio.



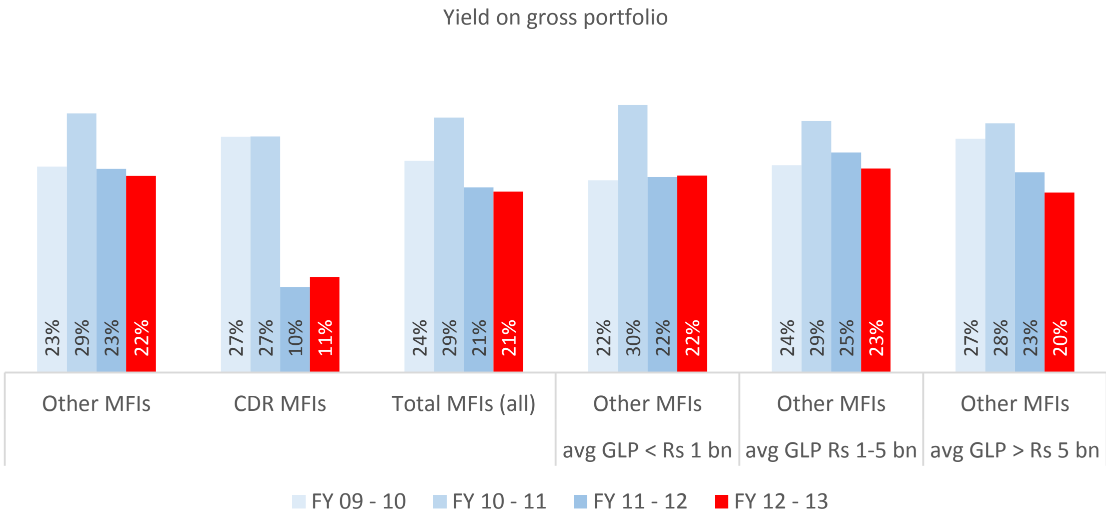
## b. Financial revenue to asset ratio

Financial Revenue to assets ratio for the microfinance industry has remained above 20% for the past four years, except for MFIs under CDR that registered a steep decline to 10% in FY 11-12. Due to margin cap imposed by RBI, MFIs across the board have witnessed decline in financial revenue during past three consecutive years.



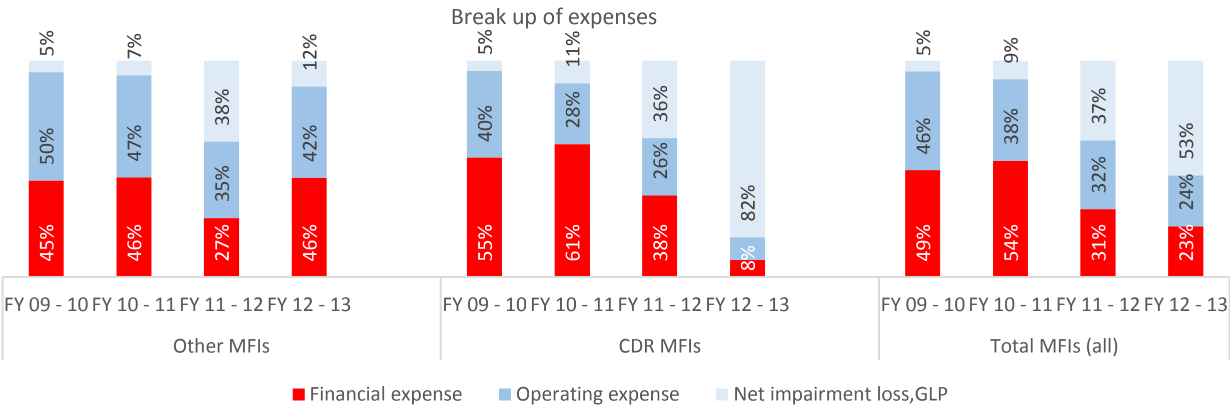

## c. Yield on gross portfolio

On a pan-India basis, the yield on gross portfolio has also remained above 20% in the past four years, wherein it peaked during FY 10-11 to around 29%, only to decline to 22% in FY 12-13. As in case of financial revenue, MFIs across the board have witnessed decline in yield on gross portfolio during past three consecutive years.

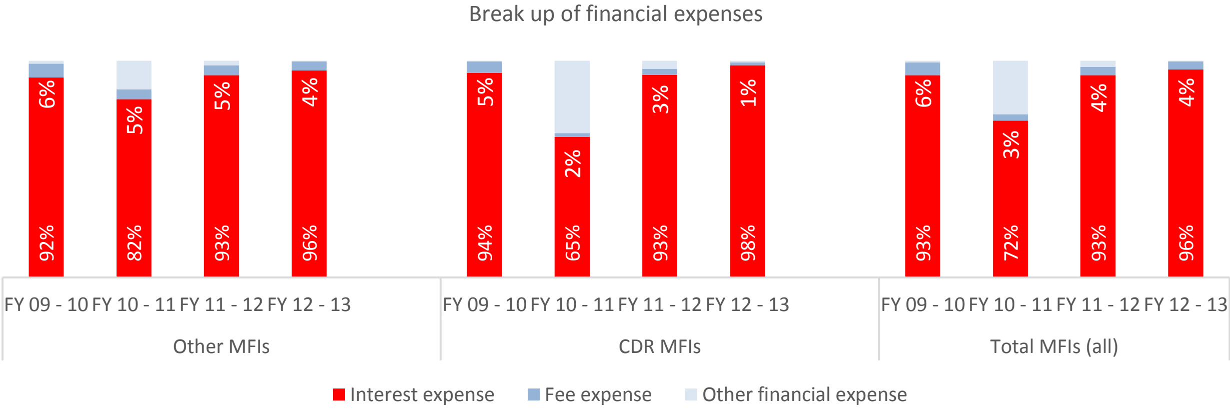


## d. Break up of expenses

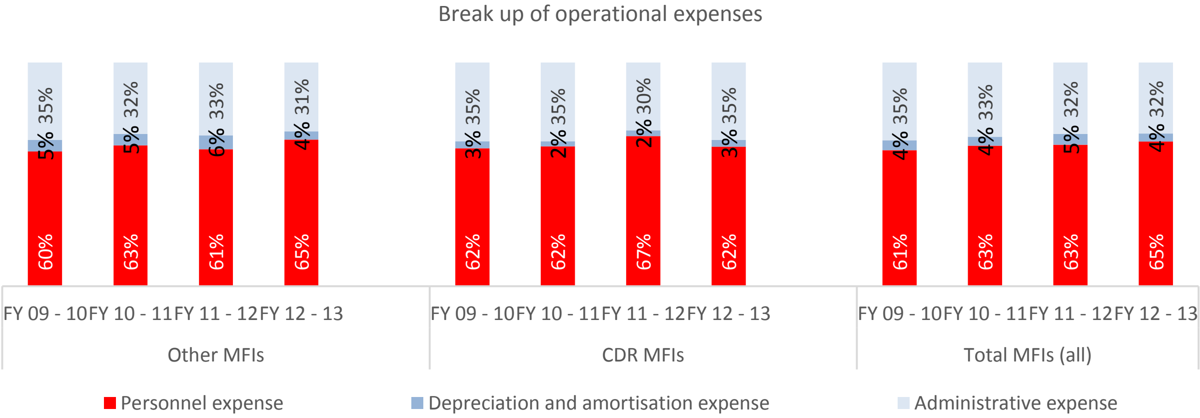
The following three graphs showcases the nature of expenses in MFIs. In FY 12-13, financial expenses formed 46% of the total expenses in the industry. Operating expenses remained as next big chunk of expenses (42%). Net impairment loss, in FY 12-13, on other hand was marginal, making just 12% of the total expenses.




Within financial expenses, Interest expense formed the dominating part. Fees too are integral part of financial expenses standing at 4% in FY 12-13.

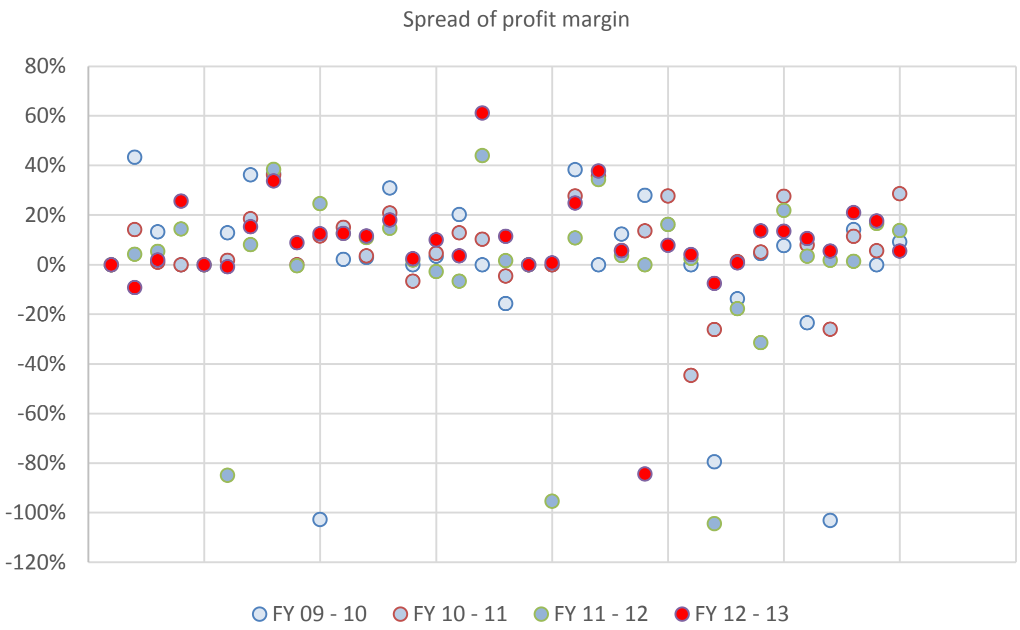



Operating expenses on other hand has been predominantly personnel. It has been more than 60% of the operating expenses for MFIs in the past four years. This is indicative of sector being highly human resource intensive.

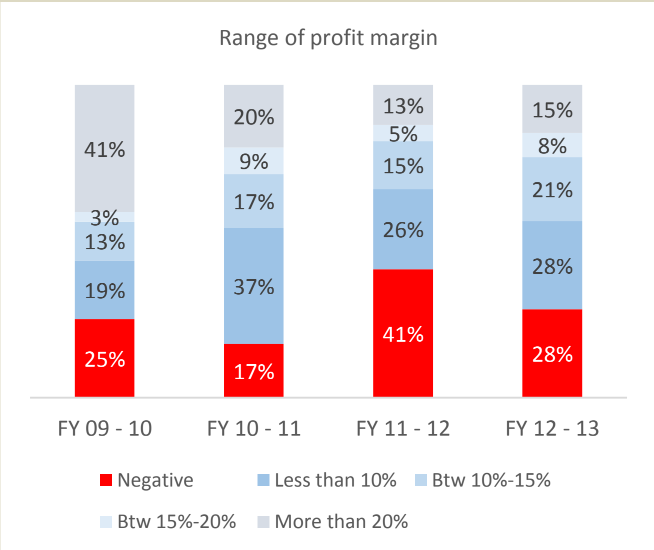


## e. Profit margin

Rather than forming a trend, profit margin varies substantially within the industry. The graphs below indicate that the industry, for the most part, experienced healthy profit margins mostly ranging within 20%.




*Compared with the last financial year, a larger percentage of MFIs showed positive profit margin in FY 12-13. This is again indicative of overall recovery of the sector.*



# ANNEX 1: LIST OF REPORTING MFIs

| Total (all MFIs) | CDR MFIs | Other MFIs | Other MFIs (avg GLP < Rs 1 bn) | Other MFIs (avg GLP Rs 1-5 bn) | Other MFIs (avg GLP > Rs 5 bn) | MFIs (avg GLP < Rs 1 bn) | MFIs (avg GLP Rs 1-5 bn) | MFIs (avg GLP > Rs 5 bn) |
|---|---|---|---|---|---|---|---|---|
| n=41 | n=6 | n=34 | n=19 | n=11 | n=5 | n=19 | n=13 | n=9 |
| Asmitha | Asmitha | ASA India | Adhikar | ASA India | Bandhan | Adhikar | ASA India | Asmitha |
| ASA India | BSFL | Adhikar | Annapurna | ESAF | Equitas | Annapurna | ESAF | BSFL |
| Adhikar | FFSL | Annapurna | Arman | GFSPL | Grama Vidiyal | Arman | FFSL | Bandhan |
| Annapurna | Share | Arman | Arohan | Janalakshmi | SKS | Arohan | GFSPL | Equitas |
| Arman | Spandana | Arohan | Asirvad | L&T Finance | Ujjivan | Asirvad | Janalakshmi | Grama Vidiyal |
| Arohan | Trident | Asirvad | Belstar | Madura | | Belstar | L&T Finance | Share |
| Asirvad | | Bandhan | Chaitanya | Muthoot | | Chaitanya | Madura | SKS |
| BSFL | | Belstar | Disha | Satin | | Disha | Muthoot | Spandana |
| Bandhan | | Chaitanya | Fusion | Smile | | Fusion | Satin | Ujjivan |
| Belstar | | Disha | Jagaran | Sonata | | Jagaran | Smile | |
| Chaitanya | | ESAF | Jagdhan | VFS | | Jagdhan | Sonata | |
| Disha | | Equitas | M Power | | | M Power | Trident | |
| ESAF | | Fusion | SVCL | | | SVCL | VFS | |
| Equitas | | GFSPL | Saija | | | Saija | | |
| FFSL | | Grama Vidiyal | Samasta | | | Samasta | | |
| Fusion | | Jagaran | Sarvodaya Nano | | | Sarvodaya Nano | | |
| GFSPL | | Jagdhan | Suryoday | | | Suryoday | | |
| Grama Vidiyal | | Janalakshmi | Swadhaar | | | Swadhaar | | |
| Jagaran | | L&T Finance | Utkarsh | | | Utkarsh | | |
| Jagdhan | | M Power | | | | | | |
| Janalakshmi | | Madura | | | | | | |
| L&T Finance | | Muthoot | | | | | | |
| M Power | | Satin | | | | | | |
| Madura | | SKS | | | | | | |
| Muthoot | | Smile | | | | | | |
| Satin | | SVCL | | | | | | |
| Share | | Saija | | | | | | |
| SKS | | Samasta | | | | | | |
| Smile | | Sarvodaya Nano | | | | | | |
| SVCL | | Sonata | | | | | | |
| Saija | | Suryoday | | | | | | |
| Samasta | | Swadhaar | | | | | | |
| Sarvodaya Nano | | Ujjivan | | | | | | |
| Sonata | | Utkarsh | | | | | | |
| Spandana | | VFS | | | | | | |
| Suryoday | | | | | | | | |
| Swadhaar | | | | | | | | |
| Trident | | | | | | | | |
| Ujjivan | | | | | | | | |
| Utkarsh | | | | | | | | |
| **VFS** | | | | | | | | |

| FY 12-13 | FY 11-12 | FY 10-11 | FY 09-10 |
|---|---|---|---|
| n=41 | n=37 | n=37 | n=34 |
| Asmitha | Asmitha | Asmitha | Asmitha |
| ASA India | ASA India | ASA India | ASA India |
| Adhikar | Adhikar | Adhikar | Adhikar |
| Arman | Arman | Arman | Arman |
| Annapurna | | | |
| Arohan | Arohan | Arohan | Arohan |
| Asirvad | Asirvad | Asirvad | Asirvad |
| BSFL | BSFL | BSFL | BSFL |
| Bandhan | Bandhan | Bandhan | Bandhan |
| Chaitanya | Chaitanya | Chaitanya | Chaitanya |
| Belstar | | | |
| Disha | Disha | Disha | |
| ESAF | ESAF | ESAF | ESAF |
| Equitas | Equitas | Equitas | Equitas |
| FFSL | FFSL | FFSL | FFSL |
| Fusion | Fusion | Fusion | Fusion |
| GFSPL | GFSPL | GFSPL | GFSPL |
| Grama Vidiyal | Grama Vidiyal | Grama Vidiyal | Grama Vidiyal |
| Janalakshmi | Janalakshmi | Janalakshmi | Janalakshmi |
| Jagaran | Jagaran | Jagaran | |
| Jagdhan | | | |
| L&T Finance | L&T Finance | L&T Finance | L&T Finance |
| M Power | | | |
| Madura | Madura | Madura | Madura |
| Muthoot | Muthoot | Muthoot | |
| Saija | Saija | Saija | Saija |
| Samasta | Samasta | Samasta | Samasta |
| Sarvodaya Nano | Sarvodaya Nano | Sarvodaya Nano | Sarvodaya Nano |
| Satin | Satin | Satin | Satin |
| Share | Share | Share | Share |
| SKS | SKS | SKS | SKS |
| Smile | Smile | Smile | Smile |
| Sonata | Sonata | Sonata | Sonata |
| Spandana | Spandana | Spandana | Spandana |
| SVCL | SVCL | SVCL | SVCL |
| Suryoday | Suryoday | Suryoday | Suryoday |
| Swadhaar | Swadhaar | Swadhaar | Swadhaar |
| Trident | Trident | Trident | Trident |
| Ujjivan | Ujjivan | Ujjivan | Ujjivan |
| Utkarsh | Utkarsh | Utkarsh | Utkarsh |
| VFS | VFS | VFS | VFS |

# ANNEX 2: DEFINITIONS

| Term | Definition |
|---|---|
| Total Assets | Includes all Assets as provided by audited financials |
| Offices | Number, including head office |
| Employee | Total number of staff members |
| Capital to asset ratio | Total Equity /Total Assets |
| Debt to equity | Total Liabilities / Total Equity |
| Portfolio to assets | Gross Loan Portfolio /Total Assets |
| Clients | Number of clients with loans outstanding as on date |
| Percent of women clients | Number of women clients /Number of clients |
| Number of loans outstanding | Number of loans outstanding as on date |
| Gross loan portfolio | Gross Loan Portfolio as on date, includes Net loan portfolio and Managed Portfolio |
| Average loan outstanding per client | Gross Loan Portfolio/Number of Active clients |
| Average outstanding balance | Gross Loan Portfolio / Number of Loans Outstanding |
| Return on assets | ( Net Operating Income - Taxes) / Average Total Assets |
| Return on equity | ( Net Operating Income - Taxes) / Average Total Equity |
| Operational self sufficiency | Financial Revenue / (Financial Expense + Impairment Losses on Loans + Operating Expense) |
| Financial Revenue/Assets | Financial Revenue / Average Total Assets |
| Profit margin | Net Operating Income / Financial Revenue |
| Yield on gross portfolio (nominal) | Financial Revenue from Loan Portfolio / Average Gross Loan Portfolio |
| Total Expense/ Assets | (Financial Expense + Net Impairment Loss + Operating Expense) / Average Total Assets |
| Financial Expense/Assets | Financial Expense / Average Total Assets |
| Provision for Loan Impairment/ Assets | Impairment Losses on Loans / Average Total Assets |
| Operating Expense / Assets | Operating Expense / Average Total Assets |
| Personnel Expense/ Assets | Personnel Expense / Average Total Assets |
| Administrative Expense/ Assets | Administrative Expense / Average Total Assets |
| Adjustment Expense/ Assets | (Un Net Operating Income - Net Operating Income) / Average Total Assets |
| Operating Expense/ Loan Portfolio | Operating Expense / Average Gross Loan Portfolio |
| Personnel Expense/ Loan Portfolio | Personnel Expense / Average Gross Loan Portfolio |
| Cost per client | Operating Expense / Average Number of Active Borrowers |
| Cost per loan | Operating Expense / Average Number of Loans |
| Clients per employee | Number of Active Borrowers / Number of Personnel |
| Loans per employee | Number of Loans Outstanding / Number of Personnel |

| **Clients per loan officer** | **Number of Active Borrowers / Number of Loan Officers** |
|---|---|
| Loans per loan officer | Number of Loans Outstanding / Number of Loan Officers |
| Portfolio at Risk > 30 Days | Outstanding balance, portfolio overdue > 30 Days + renegotiated portfolio / Gross Loan Portfolio |
| Portfolio at Risk > 90 Days | Outstanding balance, portfolio overdue > 90 Days + renegotiated portfolio / Gross Loan Portfolio |
| Write-off Ratio | Value of loans written-off / Average Gross Loan Portfolio |
| Loan Loss Rate | ( Write-off s - Value of Loans Recovered) / Average Gross Loan Portfolio |
| Loan Loss Rate | ( Write-off s - Value of Loans Recovered) / Average Gross Loan Portfolio |

# ANNEX 3: INDIVIDUAL MEMBERS' DATA

| Members data as of 31st March 2013 | | | | | | |
|---|---|---|---|---|---|---|
| Sl no | MFI | GLP (Rs) | Clients | Branches | Employees | Disbursements (Rs) |
| 1 | Bandhan | 44.21 bn | 44,33,885 | 1,803 | 11,450 | 57.79 bn |
| 2 | SKS | 23.59 bn | 43,08,301 | 1,241 | 10,809 | 33.20 bn |
| 3 | Spandana | 22.23 bn | 23,83,594 | 1,163 | 4,646 | 15.80 bn |
| 4 | Share | 19.65 bn | 21,28,748 | 841 | 3,696 | 12.21 bn |
| 5 | Equitas | 11.35 bn | 13,44,361 | 286 | 2,370 | 11.49 bn |
| 6 | Ujjivan | 11.26 bn | 10,06,052 | 301 | 3,656 | 15.41 bn |
| 7 | Asmitha | 10.71 bn | 9,58,936 | 460 | 2,161 | 6.45 bn |
| 8 | Janalakshmi | 9.61 bn | 6,95,974 | 91 | 2,005 | 11.26 bn |
| 9 | Satin | 5.80 bn | 4,85,033 | 161 | 1,437 | 6.26 bn |
| 10 | Grama Vidiyal | 5.41 bn | 7,38,218 | 285 | 2,440 | 11.19 bn |
| 11 | GFSPL | 5.24 bn | 3,46,519 | 170 | 1,189 | 6.06 bn |
| 12 | ESAF | 4.29 bn | 3,84,250 | 148 | 1,429 | 6.18 bn |
| 13 | Muthoot | 3.27 bn | 4,05,697 | 147 | 1,317 | 5.37 bn |
| 14 | Smile | 3.02 bn | 3,60,271 | 151 | 1,018 | 4.86 bn |
| 15 | BSFL | 2.54 bn | 3,77,421 | 209 | 1,689 | 1.01 bn |
| 16 | L&T Finance | Not Disclosed | Not Disclosed | Not Disclosed | Not Disclosed | Not Disclosed |
| 17 | FFSL | 2.04 bn | 1,79,620 | 110 | 443 | 2.32 bn |
| 18 | Sonata | 1.82 bn | 1,91,675 | 130 | 884 | 1.13 bn |
| 19 | Utkarsh | 1.78 bn | 1,98,181 | 102 | 623 | 2.56 bn |
| 20 | Suryoday | 1.53 bn | 1,56,204 | 46 | 402 | 1.72 bn |
| 21 | Madura | Not Disclosed | Not Disclosed | Not Disclosed | Not Disclosed | Not Disclosed |
| 22 | Trident | 1.29 bn | 1,93,972 | 36 | 165 | .25 bn |
| 23 | Swadhaar | 1.15 bn | 96,600 | 24 | 369 | 1.22 bn |
| 24 | VFS | 1.10 bn | 1,65,479 | 101 | 743 | 1.89 bn |
| 25 | SVCL | 1.00 bn | 1,18,217 | 49 | 357 | 1.59 bn |
| 26 | Belstar | .96 bn | 93,488 | 57 | 450 | 1.15 bn |
| 27 | Annapurna | .92 bn | 86,445 | 38 | 324 | 1.05 bn |
| 28 | Arohan | .90 bn | 1,13,665 | 67 | 511 | 1.09 bn |
| 29 | Asirvad | .79 bn | 1,13,416 | 64 | 280 | 1.29 bn |
| 30 | Disha | .76 bn | 69,053 | 24 | 196 | .94 bn |
| 31 | ASA India | .62 bn | 1,25,358 | 140 | 658 | 1.12 bn |
| 32 | Fusion | .57 bn | 66,806 | 21 | 168 | .63 bn |
| 33 | Samasta | .47 bn | 51,351 | 28 | 174 | .62 bn |
| 34 | Jagaran | .39 bn | 80,828 | 42 | 252 | .75 bn |
| 35 | Sarvodaya Nano | .37 bn | 1,05,171 | 91 | 630 | 1.63 bn |
| 36 | Arman | .32 bn | 46,416 | 25 | 167 | .60 bn |
| 37 | Chaitanya | .32 bn | 28,097 | 24 | 156 | .50 bn |
| 38 | Saija | .25 bn | 30,489 | 7 | 120 | .41 bn |
| 39 | Adhikar | .17 bn | 31,052 | 41 | 104 | .17 bn |
| 40 | M Power | .12 bn | 13,665 | 6 | 63 | .16 bn |
| 41 | Jagdhan | .02 bn | 1,958 | 5 | 24 | .03 bn |

# ANNEX 4: PEER ANALYSIS

## a. Capital / asset ratio

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 30.1% | 30.6% | 32.9% | 24.5% |
| Other MFIs | | 33.8% | 33.3% | 36.0% | 31.8% |
| CDR | | 13.5% | 16.8% | 15.8% | -15.8% |
| avg GLP < Rs 1 bn | Other MFIs | 44.8% | 42.4% | 44.9% | 39.3% |
| avg GLP Rs 1-5 bn | Other MFIs | 24.5% | 24.1% | 26.7% | 25.1% |
| avg GLP > Rs 5 bn | Other MFIs | 21.7% | 24.3% | 22.7% | 18.5% |

## b. Debt to equity ratio

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 4.0 | 3.8 | 2.5 | 0.05 |
| Other MFIs | | 3.4 | 3.4 | 2.7 | 3.2 |
| CDR | | 6.6 | 5.6 | 1.0 | (17.4) |
| avg GLP < Rs 1 bn | Other MFIs | 2.5 | 2.0 | 2.0 | 2.5 |
| avg GLP Rs 1-5 bn | Other MFIs | 3.9 | 5.2 | 3.6 | 3.9 |
| avg GLP > Rs 5 bn | Other MFIs | 4.7 | 3.9 | 3.6 | 4.5 |

## c. Gross loan portfolio to total assets

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 80.6% | 87.1% | 97.3% | 98.2% |
| Other MFIs | | 80.5% | 86.0% | 97.9% | 83.2% |
| CDR | | 80.8% | 93.0% | 93.9% | 180.6% |
| avg GLP < Rs 1 bn | Other MFIs | 77.3% | 82.4% | 101.3% | 79.7% |
| avg GLP Rs 1-5 bn | Other MFIs | 79.5% | 88.0% | 94.5% | 86.5% |
| avg GLP > Rs 5 bn | Other MFIs | 91.6% | 92.3% | 92.5% | 89.1% |

## d. Average loan balance per borrower

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 7,123 | 6,524 | 7,719 | 8,937 |
| Other MFIs | | 6,829 | 6,221 | 7,598 | 8,917 |
| CDR | | 8,545 | 8,039 | 8,341 | 9,051 |
| avg GLP < Rs 1 bn | Other MFIs | 6,618 | 5,531 | 7,571 | 8,684 |
| avg GLP Rs 1-5 bn | Other MFIs | 7,026 | 6,898 | 7,886 | 9,517 |
| avg GLP > Rs 5 bn | Other MFIs | 7,028 | 6,666 | 7,048 | 8,482 |

## e. Average outstanding balance

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 6,573 | 6,057 | 7,303 | 8,576 |
| Other MFIs | | 6,500 | 5,867 | 7,377 | 8,669 |
| CDR | | 6,898 | 7,004 | 6,924 | 8,048 |
| avg GLP < Rs 1 bn | Other MFIs | 6,514 | 5,531 | 7,555 | 8,618 |
| avg GLP Rs 1-5 bn | Other MFIs | 6,623 | 6,117 | 7,449 | 8,823 |
| avg GLP > Rs 5 bn | Other MFIs | 6,221 | 6,260 | 6,682 | 8,489 |

## f. Return on assets

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | -1.9% | 0.8% | -4.4% | -5.9% |
| Other MFIs | | -3.6% | 0.9% | -1.7% | 1.0% |
| CDR | | 5.5% | 0.2% | -18.7% | -43.8% |
| avg GLP < Rs 1 bn | Other MFIs | -11.3% | -1.0% | -2.0% | 0.9% |
| avg GLP Rs 1-5 bn | Other MFIs | 1.5% | 2.6% | 2.2% | 2.2% |
| avg GLP > Rs 5 bn | Other MFIs | 4.0% | 3.3% | -8.5% | -0.9% |

## g. Return on equity

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 8.1% | 5.0% | 149.0% | -49.6% |
| Other MFIs | | 0.8% | 5.9% | -0.8% | 6.6% |
| CDR | | 38.5% | 0.6% | 923.0% | -358.6% |
| avg GLP < Rs 1 bn | Other MFIs | -13.0% | -2.0% | -7.1% | 3.5% |
| avg GLP Rs 1-5 bn | Other MFIs | 6.1% | 11.2% | 17.9% | 17.3% |
| avg GLP > Rs 5 bn | Other MFIs | 21.6% | 18.4% | -18.0% | -3.9% |

## h. Operational self sufficiency

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 113.1% | 111.3% | 92.9% | 100.8% |
| Other MFIs | | 104.8% | 113.0% | 101.6% | 113.9% |
| CDR | | 149.2% | 103.2% | 44.6% | 28.5% |
| avg GLP < Rs 1 bn | Other MFIs | 79.8% | 100.8% | 94.7% | 113.4% |
| avg GLP Rs 1-5 bn | Other MFIs | 120.4% | 123.8% | 114.8% | 115.9% |
| avg GLP > Rs 5 bn | Other MFIs | 136.8% | 125.3% | 100.3% | 111.6% |

## i. Financial revenue/ assets

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 20.9% | 26.3% | 20.7% | 20.1% |
| Other MFIs | | 20.2% | 26.3% | 22.7% | 21.5% |
| CDR | | 24.1% | 26.2% | 10.4% | 12.7% |
| avg GLP < Rs 1 bn | Other MFIs | 17.8% | 25.9% | 21.8% | 20.8% |
| avg GLP Rs 1-5 bn | Other MFIs | 20.8% | 25.9% | 24.2% | 22.4% |
| avg GLP > Rs 5 bn | Other MFIs | 24.4% | 27.9% | 22.5% | 21.9% |

## j. Profit margin

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | -40.0% | 7.3% | -138.9% | -95.3% |
| Other MFIs | | -56.6% | 8.3% | -130.5% | 3.2% |
| CDR | | 32.1% | 2.0% | -184.7% | -636.7% |
| avg GLP < Rs 1 bn | Other MFIs | -143.4% | -1.8% | -232.8% | -0.4% |
| avg GLP Rs 1-5 bn | Other MFIs | 13.1% | 17.1% | 11.5% | 12.0% |
| avg GLP > Rs 5 bn | Other MFIs | 26.0% | 19.0% | -46.4% | -1.6% |

## k. Yield on gross portfolio (nominal)

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 24.0% | 29.0% | 21.0% | 20.5% |
| Other MFIs | | 23.4% | 29.4% | 23.1% | 22.3% |
| CDR | | 26.8% | 26.8% | 9.7% | 10.8% |
| avg GLP < Rs 1 bn | Other MFIs | 21.8% | 30.4% | 22.2% | 22.4% |
| avg GLP Rs 1-5 bn | Other MFIs | 23.5% | 28.5% | 25.0% | 23.2% |
| avg GLP > Rs 5 bn | Other MFIs | 26.5% | 28.3% | 22.7% | 20.4% |

## l. Yield on gross portfolio (real)

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 11.9% | 15.1% | 9.5% | 9.0% |
| Other MFIs | | 11.3% | 15.6% | 11.4% | 10.6% |
| CDR | | 14.3% | 13.2% | -0.8% | 0.2% |
| avg GLP < Rs 1 bn | Other MFIs | 9.9% | 16.4% | 10.5% | 10.7% |
| avg GLP Rs 1-5 bn | Other MFIs | 11.4% | 14.8% | 13.0% | 11.4% |
| avg GLP > Rs 5 bn | Other MFIs | 14.1% | 14.6% | 11.0% | 8.9% |

## m. Operating expense/ loan portfolio

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 19.9% | 16.1% | 13.9% | 11.3% |
| Other MFIs | | 22.6% | 17.8% | 14.9% | 11.6% |
| CDR | | 8.5% | 8.2% | 8.5% | 9.6% |
| avg GLP < Rs 1 bn | Other MFIs | 36.5% | 22.5% | 16.8% | 12.3% |
| avg GLP Rs 1-5 bn | Other MFIs | 12.2% | 13.7% | 12.9% | 10.8% |
| avg GLP > Rs 5 bn | Other MFIs | 11.0% | 12.0% | 12.5% | 10.8% |

## n. Personnel expense/ loan portfolio

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 11.2% | 10.0% | 8.4% | 8.7% |
| Other MFIs | | 12.8% | 11.2% | 9.0% | 9.4% |
| CDR | | 4.6% | 4.7% | 5.1% | 5.0% |
| avg GLP < Rs 1 bn | Other MFIs | 21.6% | 14.3% | 9.9% | 11.3% |
| avg GLP Rs 1-5 bn | Other MFIs | 6.5% | 8.2% | 8.0% | 7.0% |
| avg GLP > Rs 5 bn | Other MFIs | 6.7% | 7.7% | 7.8% | 7.1% |

## o. Cost per borrower

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 1,367 | 1,075 | 1,001 | 896 |
| Other MFIs | | 1,549 | 1,154 | 1,068 | 932 |
| CDR | | 669 | 709 | 666 | 707 |
| avg GLP < Rs 1 bn | Other MFIs | 2,690 | 1,379 | 1,240 | 994 |
| avg GLP Rs 1-5 bn | Other MFIs | 857 | 985 | 947 | 913 |
| avg GLP > Rs 5 bn | Other MFIs | 743 | 826 | 791 | 758 |

## p. Cost per loan

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 1,260 | 979 | 966 | 865 |
| Other MFIs | | 1,451 | 1,064 | 1,040 | 905 |
| CDR | | 562 | 607 | 597 | 648 |
| avg GLP < Rs 1 bn | Other MFIs | 2,666 | 1,308 | 1,239 | 987 |
| avg GLP Rs 1-5 bn | Other MFIs | 811 | 920 | 893 | 865 |
| avg GLP > Rs 5 bn | Other MFIs | 657 | 739 | 735 | 708 |

## q. Borrowers per loan officer

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 542 | 548 | 540 | 581 |
| Other MFIs | | 543 | 527 | 486 | 509 |
| CDR | | 537 | 651 | 819 | 1,002 |
| avg GLP < Rs 1 bn | Other MFIs | 359 | 357 | 406 | 472 |
| avg GLP Rs 1-5 bn | Other MFIs | 764 | 747 | 558 | 510 |
| avg GLP > Rs 5 bn | Other MFIs | 636 | 519 | 568 | 647 |

## r. Personnel allocation ratio

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 59.4% | 59.9% | 58.3% | 61.3% |
| Other MFIs | | 57.0% | 59.8% | 58.9% | 62.0% |
| CDR | | 70.9% | 60.6% | 55.0% | 57.5% |
| avg GLP < Rs 1 bn | Other MFIs | 60.7% | 65.1% | 60.3% | 60.9% |
| avg GLP Rs 1-5 bn | Other MFIs | 50.8% | 51.7% | 55.6% | 64.4% |
| avg GLP > Rs 5 bn | Other MFIs | 59.3% | 63.7% | 62.0% | 60.6% |

## s. Portfolio at risk > 30 days

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 1.0% | 12.9% | 11.4% | 10.5% |
| Other MFIs | | 1.2% | 1.6% | 1.6% | 0.7% |
| CDR | | 0.6% | 58.2% | 55.6% | 58.0% |
| avg GLP < Rs 1 bn | Other MFIs | 2.0% | 2.3% | 1.1% | 0.8% |
| avg GLP Rs 1-5 bn | Other MFIs | 1.0% | 1.3% | 2.4% | 0.8% |
| avg GLP > Rs 5 bn | Other MFIs | 0.2% | 0.6% | 0.6% | 0.1% |

## t. Portfolio at risk > 90 days

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 0.9% | 10.0% | 10.7% | 11.1% |
| Other MFIs | | 1.0% | 1.2% | 1.3% | 0.6% |
| CDR | | 0.5% | 43.8% | 61.3% | 57.9% |
| avg GLP < Rs 1 bn | Other MFIs | 2.2% | 1.8% | 0.9% | 0.8% |
| avg GLP Rs 1-5 bn | Other MFIs | 0.8% | 0.8% | 2.1% | 0.6% |
| avg GLP > Rs 5 bn | Other MFIs | 0.2% | 0.3% | 0.6% | 0.1% |

## u. Write-off ratio

| | | FY 09-10 | FY 10-11 | FY 11-12 | FY 12-13 |
|---|---|---|---|---|---|
| All MFIs | | 0.6% | 2.3% | 6.3% | 3.0% |
| Other MFIs | | 0.6% | 1.1% | 5.6% | 2.8% |
| CDR | | 0.7% | 7.0% | 9.8% | 3.9% |
| avg GLP < Rs 1 bn | Other MFIs | 0.7% | 1.0% | 1.7% | 0.5% |
| avg GLP Rs 1-5 bn | Other MFIs | 0.5% | 1.1% | 8.4% | 6.5% |
| avg GLP > Rs 5 bn | Other MFIs | 0.5% | 1.3% | 9.4% | 0.7% |

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